LOAN AGREEMENT

***PINNACLE SAVINGS BANK, N.A.**, as Lender*

and

***HARBORVIEW CAPITAL PARTNERS LLC**, as Borrower*

***The Piedmont at Brightleaf** — 601 and 615 Foster Street, Durham, Durham County, North Carolina 27701*

Parcel IDs 0821-04-72-3341 and 0821-04-72-4102

Lender Internal Loan No. CRE-2025-0342

Dated as of February [●], 2025

DRAFT OF FEBRUARY 3, 2025 — FOR DISCUSSION PURPOSES ONLY

PRIVILEGED AND CONFIDENTIAL — ATTORNEY WORK PRODUCT — ATTORNEY-CLIENT COMMUNICATION

This draft has been prepared by Ashford, Cromdale Consulting & Laine LLP, counsel to Pinnacle Savings Bank, N.A., from the executed Term Sheet dated January 10, 2025 and the Bank's internal credit approval dated January 22, 2025. It is furnished to the Borrower and Borrower's counsel for review and comment and is subject to continuing due diligence, Senior Loan Committee approval, and the satisfaction of the conditions set forth herein. Bracketed text denotes terms requiring confirmation, open diligence items, or matters on which Lender's instructions are requested. Nothing in this draft constitutes a commitment to lend. See the accompanying Cover Memorandum of even date for a schedule of open issues and recommended resolutions.

TABLE OF CONTENTS

ARTICLE I — DEFINITIONS AND INTERPRETATION

ARTICLE II — THE LOAN

ARTICLE III — CONDITIONS PRECEDENT TO CLOSING

ARTICLE IV — ADVANCES; DISBURSEMENT PROCEDURES; INTEREST RESERVE

ARTICLE V — REPRESENTATIONS AND WARRANTIES

ARTICLE VI — AFFIRMATIVE COVENANTS

ARTICLE VII — NEGATIVE COVENANTS

ARTICLE VIII — FINANCIAL COVENANTS

ARTICLE IX — SINGLE-PURPOSE ENTITY AND SEPARATENESS COVENANTS

ARTICLE X — ENVIRONMENTAL MATTERS

ARTICLE XI — INSURANCE

ARTICLE XII — COLLATERAL; SECURITY DOCUMENTS; MEMBERSHIP INTEREST PLEDGE

ARTICLE XIII — GUARANTIES

ARTICLE XIV — EVENTS OF DEFAULT

ARTICLE XV — REMEDIES

ARTICLE XVI — MEZZANINE LOAN; INTERCREDITOR MATTERS

ARTICLE XVII — NOTICES

ARTICLE XVIII — MISCELLANEOUS

SIGNATURE PAGES

EXHIBIT A — Legal Description of the Property

EXHIBIT B — Project Budget

EXHIBIT C — Draw Schedule

EXHIBIT D — Construction Milestones and Construction Schedule

EXHIBIT E — Environmental Restricted Area; NFA Compliance Plan

EXHIBIT F — Reporting Requirements

EXHIBIT G — Conditions to the Extension Option

EXHIBIT H — Permitted Exceptions

EXHIBIT I — Form of Compliance Certificate

EXHIBIT J — Form of Draw Request and Advance Certificate

LOAN AGREEMENT

THIS LOAN AGREEMENT (this **"Agreement"**) is made and entered into as of February [●], 2025 (the **"Effective Date"**), by and between **PINNACLE SAVINGS BANK, N.A.**, a nationally chartered savings bank organized under the laws of the United States and regulated by the Office of the Comptroller of the Currency, with its principal office at 215 South Tryon Street, 18th Floor, Charlotte, North Carolina 28202 (together with its successors and assigns, **"Lender"**), and **HARBORVIEW CAPITAL PARTNERS LLC**, a North Carolina limited liability company, with North Carolina Secretary of State File No. 1923847 and its principal office at 400 West Main Street, Suite 310, Durham, North Carolina 27701 (together with its permitted successors and assigns, **"Borrower"**).

RECITALS

A. Borrower is the fee simple owner of two contiguous parcels of real property located at 601 and 615 Foster Street, Durham, Durham County, North Carolina 27701, identified by Durham County Parcel Identification Numbers 0821-04-72-3341 and 0821-04-72-4102, comprising approximately 3.47 acres in the aggregate, together with all improvements, fixtures and appurtenances thereto (collectively, the **"Property"**).

B. Borrower has requested that Lender make available to Borrower a construction-to-mini-permanent loan in the principal amount of Forty-Seven Million Five Hundred Thousand and No/100 Dollars ($47,500,000) to finance a portion of the costs of constructing the Project (as defined below) and to fund the Interest Reserve (as defined below), and Lender is willing to do so on the terms and subject to the conditions set forth in this Agreement.

C. The Loan is being made on the basis of, and in reliance upon, the Term Sheet dated January 10, 2025 and executed by Lender and Borrower (the **"Term Sheet"**), and the Senior Loan Committee Credit Memorandum dated January 22, 2025 relating to Lender's Loan No. CRE-2025-0342 (the **"Credit Memorandum"**). This Agreement sets forth the definitive terms and conditions of the Loan. In the event of any conflict between this Agreement and the Term Sheet, this Agreement shall control as between Lender and Borrower, except that the fees, rates, maturities, financial covenants and other economic terms set forth in the Term Sheet shall not be modified except as expressly provided herein or as approved in writing by Lender's Senior Loan Committee.

D. Concurrently with the closing of the Loan, Brightleaf Mezzanine Capital LLC, a North Carolina limited liability company (North Carolina Secretary of State File No. 2103988) (the **"Mezzanine Lender"**), will make a mezzanine loan to Borrower in the original principal amount of $9,200,000 (the **"Mezzanine Loan"**), which Mezzanine Loan will be secured by a pledge of one hundred percent (100%) of the membership interests in Borrower, subordinated to the Membership Interest Pledge granted to Lender pursuant to this Agreement and the other Loan Documents.

NOW, THEREFORE, in consideration of the mutual covenants and agreements contained herein, and for other good and valuable consideration, the receipt and sufficiency of which are hereby acknowledged, Lender and Borrower agree as follows:

ARTICLE I — DEFINITIONS AND INTERPRETATION

1.1 Defined Terms

As used in this Agreement, the following terms have the meanings set forth below. Terms defined elsewhere in this Agreement have the meanings there ascribed to them.

“Advance” means any disbursement of Loan proceeds hereunder, including the initial Advance made on the Closing Date and each subsequent Advance made pursuant to Article IV.

“Affiliate” means, with respect to any Person, any other Person that directly or indirectly Controls, is Controlled by, or is under common Control with such Person. For the avoidance of doubt, each of Brightleaf Investors Group LLC, Brightleaf Mezzanine Capital LLC, and Thomas R. Chen is an Affiliate of Borrower for purposes of this Agreement.

“Applicable Rate” means, (a) at any time during the period from the Closing Date through and including the Construction Maturity Date, the greater of (i) Daily Simple SOFR plus three and twenty-five hundredths percent (3.25%) per annum and (ii) four and twenty-five hundredths percent (4.25%) per annum, and (b) at any time after the Construction Maturity Date, the greater of (i) Daily Simple SOFR plus three and fifty hundredths percent (3.50%) per annum and (ii) four and fifty hundredths percent (4.50%) per annum, in each case calculated on the basis of a 360-day year for the actual number of days elapsed.

“Approved Plans and Specifications” means the plans and specifications for the Project prepared by the Project Architect, dated [●], as approved by Lender in writing pursuant to Section 6.3, as the same may be amended, supplemented or modified from time to time with Lender’s prior written consent as required hereunder.

“Approved Project Budget” means the Project Budget attached as Exhibit B, totaling $56,700,000, together with each line-item and aggregate modification thereof approved in writing by Lender.

“Architect Agreement” means the agreement between Borrower and the Project Architect for the design and construction administration of the Project, as collaterally assigned to Lender pursuant to the Architect Assignment.

“Assignment of Rents” means the Assignment of Rents and Leases dated as of the Closing Date from Borrower to Lender, as the same may be amended, restated or supplemented from time to time.

“Available Cash” means, as of any date, cash and Cash Equivalents of Borrower held in Eligible Accounts, excluding (a) the Interest Reserve Balance, (b) amounts held in the Equity Escrow Account, and (c) tenant security deposits and other funds held in trust.

“Bankruptcy Code” means Title 11 of the United States Code, 11 U.S.C. § 101 et seq., as amended.

“Business Day” means any day other than a Saturday, Sunday or day on which commercial banks in Charlotte, North Carolina are authorized or required by law to close.

“Capital Event” means any sale, transfer, refinancing, recapitalization or other liquidity event with respect to the Property or the Project, or any sale or transfer of a direct or indirect equity interest in Borrower.

“Cash Equivalents” means (a) marketable direct obligations of the United States or any agency thereof maturing within one year, (b) certificates of deposit or time deposits of any bank having capital and surplus of not less than $500,000,000, maturing within one year, and (c) money market funds investing at least ninety-five percent (95%) of their assets in the foregoing.

“Change Order” has the meaning given in Section 4.9.

“Closing Date” means the date on which the initial Advance is made under the Loan, which the parties anticipate will be February 28, 2025.

“Code” means the Internal Revenue Code of 1986, as amended.

“Completion Guaranty” means the Completion Guaranty dated as of the Closing Date executed by the Guarantors in favor of Lender.

“Construction Contract” means the guaranteed maximum price construction contract between Borrower and the General Contractor, dated [●], 2024, in the guaranteed maximum price amount of $34,750,000, as collaterally assigned to Lender pursuant to the Construction Contract Assignment.

“Construction Contract Assignment” means the Collateral Assignment of Construction Contract dated as of the Closing Date from Borrower to Lender.

“Construction Documents” means, collectively, the Construction Contract, the Architect Agreement, and all other contracts, subcontracts, purchase orders, plans, specifications, drawings, permits and approvals relating to the design or construction of the Project.

“Construction Maturity Date” means the date that is thirty (30) months after the Closing Date; provided that if the Closing Date is February 28, 2025, the Construction Maturity Date shall be August 28, 2027.

“Construction Period” means the period from the Closing Date through and including the Construction Maturity Date.

“Construction Schedule” means the critical-path construction schedule for the Project attached as Exhibit D, as updated monthly pursuant to Section 6.10 and approved by Lender.

“Control” means the possession, directly or indirectly, of the power to direct or cause the direction of the management or policies of a Person, whether through the ownership of voting securities, by contract, or otherwise, and includes the holding of a membership interest that confers the right to designate or remove the managing member of a limited liability company.

“Daily Simple SOFR” means, for any day, the greater of (a) the rate per annum equal to the secured overnight financing rate as administered by the Federal Reserve Bank of New York (or a successor administrator) for U.S. Government Securities Business Day that is five (5) U.S. Government Securities Business Days prior to such day, and (b) the SOFR Floor.

“Deed of Trust” means the Deed of Trust, Assignment of Rents, Security Agreement and Fixture Filing dated as of the Closing Date, from Borrower, as grantor, to a trustee reasonably acceptable to Lender, for the benefit of Lender, encumbering the Property, as the same may be amended, restated or supplemented from time to time.

“Default Rate” means, at any time, the Applicable Rate plus five percent (5.00%) per annum, but in no event exceeding the Maximum Lawful Rate.

“Developer Fee” means the developer fee in the amount of $2,835,000 included in the Approved Project Budget, subject to Section 7.5 and Section 6.11.

“Distributions” means any dividend, distribution, return of capital, loan or advance to, or other payment or transfer of value by Borrower to or for the benefit of any member of Borrower or any Affiliate of any member, including (a) any repayment of, or payment of interest on, any member loan or advance (including any advance used to acquire the Property or to fund remediation of the Property), and (b) any payment of the Developer Fee other than as expressly permitted by Section 7.5.

“DSCR” means, as of any date of determination, the ratio of (a) Net Operating Income for the applicable measurement period to (b) Debt Service for such period, calculated in accordance with Section 8.3 and Section 8.8.

“Debt Service” means, for any period, the aggregate interest expense that would accrue during such period on the outstanding principal balance of the Loan at the Applicable Rate then in effect (determined on an interest-only basis), plus, after the commencement of amortization, scheduled principal.

“Debt Yield” means, as of any date of determination, the ratio (expressed as a percentage) of (a) Net Operating Income for the most recent twelve (12) month period (annualized in accordance with Section 8.8) to (b) the outstanding principal balance of the Loan.

“Eligible Account” means a deposit account maintained with Lender or with a depository institution acceptable to Lender that has executed a deposit account control agreement in favor of Lender in form and substance satisfactory to Lender.

“Environmental Indemnity” means the Environmental Indemnity Agreement dated as of the Closing Date executed by Borrower and the Guarantors in favor of Lender.

“Environmental Laws” means all federal, state and local statutes, regulations, ordinances, orders, permits and directives relating to pollution, human health, hazardous substances, petroleum products, wetlands, stormwater and the environment, including CERCLA, RCRA, the Clean Water Act, the Clean Air Act, the Toxic Substances Control Act, and the North Carolina Oil Pollution and Hazardous Substances Control Act (N.C.G.S. Chapter 143, Article 21B), the North Carolina Inactive Hazardous Sites Response Act (N.C.G.S. Chapter 130A, Article 9) and the North Carolina Groundwater Classification and Standards rules (15A N.C.A.C. 2L).

“Environmental Restricted Area” means the approximately 0.38-acre area in the northeast corner of Parcel 0821-04-72-4102 that is subject to the land use restriction set forth in the NFA Letter and the Deed Notice, as depicted on the survey and on Exhibit E, which area shall be delineated by metes and bounds in the Deed Notice and verified by the Survey.

“Equity Escrow Account” means the segregated escrow account established with Lender or the Title Company pursuant to Section 3.1(k) and the Equity Escrow Agreement.

“Equity Escrow Agreement” means the Equity Escrow and Disbursement Agreement among Borrower, Lender and the escrow agent named therein, in form and substance satisfactory to Lender.

“Equity Escrow Deposit” means the deposit of not less than $2,140,000 in cash required by Section 3.1(k).

“Event of Default” has the meaning given in Section 14.1.

“Extension Option” has the meaning given in Section 2.17.

“Fee” and **“Fees”** means, collectively, the Origination Fee, the Unused Line Fee, the Exit Fee, the Extension Fee and each other fee payable by Borrower under this Agreement or the other Loan Documents.

“GAAP” means generally accepted accounting principles in the United States, consistently applied.

“General Contractor” means Graystone Construction Group Inc., a North Carolina corporation (NC General Contractor License No. 78442), or any replacement general contractor approved by Lender in writing.

“Guarantor” means, individually, each of Elena Vasquez-Torres and Reginald K. Osei, and **“Guarantors”** means both of them, together with any additional guarantor that becomes party to a Guaranty.

“Guaranties” means, collectively, the Completion Guaranty, the Carry Guaranty, the Partial Repayment Guaranty, and each other guaranty, indemnity, surety or support agreement now or hereafter delivered to Lender in connection with the Loan.

“Highest Lawful Rate” means the maximum non-usurious rate of interest permitted by applicable North Carolina law, determined in accordance with N.C.G.S. § 24-1.1 and § 24-2.

“Indebtedness” means, without duplication, all principal, interest, fees, costs, expenses, indemnities and other amounts payable by Borrower or any Guarantor under the Loan Documents.

“Initial Advance” means the Advance of $9,475,000 to be made on the Closing Date.

“Intercreditor Agreement” means the intercreditor and subordination agreement among Lender, the Mezzanine Lender and Borrower, in form and substance satisfactory to Lender in its sole discretion.

“Interest Reserve” means the amount of $4,850,000 funded from Loan proceeds on the Closing Date and held in the Interest Reserve Account.

“Interest Reserve Account” means the segregated sub-account of the Loan established and maintained by Lender as a ledger sub-account pursuant to Section 4.5.

“Interest Reserve Balance” means, as of any date, the undisbursed balance of the Interest Reserve held by Lender.

“Lien” means any mortgage, deed of trust, deed to secure debt, pledge, security interest, lien, charge, hypothecation, assignment, encumbrance, judgment lien, mechanic’s or materialmen’s lien, or other preferential arrangement of any kind, including any conditional sale or title retention arrangement.

“Loan” means the construction-to-mini-permanent loan made by Lender to Borrower pursuant to this Agreement in the principal amount of $47,500,000.

“Loan Amount” means $47,500,000.

“Loan Documents” means this Agreement, the Note, the Deed of Trust, the Assignment of Rents, the Security Agreement, the Construction Contract Assignment, the Architect Assignment, the Pledge Agreements, the Guaranties, the Environmental Indemnity, the Equity Escrow Agreement, any Interest Rate Cap Agreement, and each other document, instrument, certificate or agreement now or hereafter executed and delivered by Borrower, any Guarantor or any other Person

to or for the benefit of Lender in connection with the Loan, as each may be amended, restated or supplemented from time to time.

“Loan-to-Cost Ratio” or **“LTC”** has the meaning given in Section 8.1.

“Loan-to-Value Ratio” or **“LTV”** has the meaning given in Section 8.2.

“Material Adverse Effect” means a material adverse effect on (a) the business, assets, liabilities, financial condition or results of operations of Borrower, any Guarantor or the Project, (b) the value, use or marketability of the Property or any other Collateral, (c) the ability of Borrower or any Guarantor to perform its obligations under the Loan Documents, or (d) the enforceability or priority of any Lien granted to Lender under the Loan Documents.

“Maturity Date” means the Mini-Perm Maturity Date, or, if the Extension Option is exercised in accordance with Section 2.17, the Extended Maturity Date.

“Maximum Lawful Rate” means the Highest Lawful Rate.

“Membership Interest Pledge” means the pledge of one hundred percent (100%) of the membership interests in Borrower granted to Lender pursuant to the Pledge Agreements, which pledge shall constitute a first-priority perfected security interest.

“Mezzanine Documents” means the Mezzanine Loan agreement, the mezzanine pledge agreement, and each other document evidencing, securing or relating to the Mezzanine Loan.

“Mini-Perm Maturity Date” means the date that is twelve (12) months after the Construction Maturity Date; provided that if the Construction Maturity Date is August 28, 2027, the Mini-Perm Maturity Date shall be August 28, 2028.

“Mini-Perm Period” means the period from the day following the Construction Maturity Date through and including the Maturity Date.

“Net Operating Income” or **“NOI”** means, for any period, the actual gross revenues of the Property from all sources for such period, less actual operating expenses of the Property for such period, determined in accordance with GAAP consistently applied and Lender’s customary underwriting adjustments, and excluding (a) capital expenditures, (b) debt service, (c) depreciation and amortization, (d) income and franchise taxes, (e) the Developer Fee, (f) non-recurring items, and (g) any revenue attributable to units or space that are not lawfully permitted to be occupied or leased.

“NFA Letter” means the No Further Action determination letter dated September 30, 2024 issued by NCDEQ, Inactive Hazardous Sites Branch, for Site ID IHSB-24-1203 / Incident No. NONUST-24-0847, as the same may be modified by NCDEQ from time to time in accordance with Section 10.4.

“NCDEQ” means the North Carolina Department of Environmental Quality, or any successor agency.

“Note” means the promissory note dated as of the Closing Date in the original principal amount of $47,500,000 executed by Borrower and payable to the order of Lender.

“OFAC” means the U.S. Department of the Treasury’s Office of Foreign Assets Control.

“Permitted Exceptions” means, collectively, the matters listed on Exhibit H, as the same may be modified with Lender’s prior written consent.

“Person” means any individual, corporation, limited liability company, partnership, joint venture, trust, estate, unincorporated organization, governmental authority or other entity.

“Pledge Agreements” means, collectively, the Membership Interest Pledge Agreements dated as of the Closing Date executed by each member of Borrower in favor of Lender, together with the accompanying UCC-1 financing statements and, where applicable, control agreements.

“Project” means the ground-up construction of a six-story (five residential stories over a one-story podium), Class A mixed-use residential and retail development containing 212 residential units (142 one-bedroom, 56 two-bedroom and 14 three-bedroom units), approximately 18,400 square feet of ground-floor retail space in seven retail bays, a four-level structured parking garage containing 276 spaces, approximately 287,500 square feet of gross building area, and related amenities, improvements, site work and appurtenances, on the Property.

“Project Architect” means Meridian Design Collective PC, a North Carolina professional corporation, or any replacement architect approved by Lender in writing.

“Project Budget” means the budget of Total Project Costs attached as Exhibit B.

“Project Costs” and **“Total Project Costs”** have the meanings given in Section 8.1.

“Related Entities” means each member of Borrower, each Affiliate of Borrower, the Mezzanine Lender, and each Person under common Control with any of the foregoing.

“Requisition” means a draw request and advance certificate substantially in the form of Exhibit J.

“Retainage” means, with respect to each Advance for Hard Costs, an amount equal to ten percent (10%) of such Hard Costs, held back and released in accordance with Section 4.3.

“SOFR Floor” means one percent (1.00%) per annum.

“Substantial Completion” means completion of the Project in accordance with the Approved Plans and Specifications such that the Project is ready for its intended occupancy and use, as evidenced by (a) the issuance of a certificate of

occupancy (temporary or final) by the City of Durham for all residential units and retail space, (b) the Project Architect’s certificate of substantial completion (AIA G704 or equivalent), and (c) Lender’s receipt of a certification from the Construction Inspector confirming substantial completion.

“Survey” means the ALTA/NSPS Land Title Survey of the Property prepared in accordance with the 2021 ALTA/NSPS Minimum Standard Detail Requirements, including Table A items [1, 2, 3, 4, 6, 7(a), 7(b)(1), 8, 9, 10, 11, 13, 14, 15, 16, 17, 18, 19, 20 and 21] as specified by Lender, certified to Lender, the Title Company and Borrower, dated or re-certified not more than ninety (90) days prior to the Closing Date, and otherwise in form and substance satisfactory to Lender.

“Title Company” means Aldersgate Title & Escrow Inc., 307 West Chapel Hill Street, Suite 400, Durham, North Carolina 27701 (Commitment No. NC-2024-88712; Escrow Officer: Patricia Langley), or another title insurance company approved by Lender.

“Title Policy” means the ALTA Loan Policy of title insurance (2006 form, as modified by such endorsements as Lender may require) issued by the Title Company in an amount of not less than $47,500,000, insuring the Deed of Trust as a valid first-priority Lien on the Property subject only to the Permitted Exceptions.

“UCC” means the Uniform Commercial Code as in effect in the State of North Carolina.

“U.S. Government Securities Business Day” means any day other than a Saturday, Sunday or day on which the Securities Industry and Financial Markets Association recommends that the fixed income departments of its members be closed for the entire day for purposes of trading in U.S. government securities.

1.2 Interpretation

(a) The words “include,” “includes” and “including” are deemed to be followed by “without limitation.” (b) The word “or” is not exclusive. (c) References to Articles, Sections, Exhibits and Schedules are to this Agreement unless otherwise specified. (d) References to any statute, regulation or agreement include any amendment, successor or replacement thereof. (e) The singular includes the plural and vice versa. (f) Headings are for convenience only and do not affect interpretation. (g) “Hereof,” “herein,” “hereunder” and similar terms refer to this Agreement as a whole. (h) All amounts are stated, and all payments shall be made, in lawful currency of the United States. (i) Any determination, consent, approval, waiver or satisfaction of conditions by Lender may be made in Lender’s sole and absolute discretion unless this Agreement expressly provides for a different standard, and shall be made in writing. (j) Whenever a payment is due on a day that is not a Business Day, the payment date shall be extended to the next succeeding Business Day, and interest shall accrue during such extension. (k) Time is of the essence with respect to each obligation of Borrower and each Guarantor under the Loan Documents.

1.3 Accounting Terms; Rounding

All accounting terms not otherwise defined herein shall be construed in accordance with GAAP. All financial covenants and other financial calculations shall be computed to four (4) decimal places for ratios and to the nearest dollar for amounts, and shall be tested on a consolidated basis for Borrower.

ARTICLE II — THE LOAN

2.1 The Commitment

Subject to the terms and conditions of this Agreement and the other Loan Documents, and in reliance on the representations, warranties and covenants of Borrower and the Guarantors, Lender agrees to make Advances to Borrower from time to time during the Construction Period in an aggregate principal amount not to exceed Forty-Seven Million Five Hundred Thousand and No/100 Dollars ($47,500,000), in accordance with the Draw Schedule attached as Exhibit C. The Loan is a single-advance, non-revolving construction facility permitting multiple disbursements in accordance with Article IV. No principal amount repaid or prepaid may be re-borrowed. Borrower’s obligation to repay the Loan is evidenced by the Note and secured by the Security Documents.

2.2 The Note

The Loan shall be evidenced by the Note, which shall bear interest and be payable as provided in this Agreement and in the Note. In the event of any conflict between the Note and this Agreement, this Agreement shall control.

2.3 Purpose

The proceeds of the Loan shall be used solely to (a) pay Hard Costs and Soft Costs set forth in the Approved Project Budget, (b) fund the Interest Reserve, and (c) pay the Origination Fee to the extent permitted by the Approved Project Budget. No proceeds of the Loan shall be used (i) to pay any Distribution, (ii) to repay, reimburse or refinance any capital contribution, member loan or other advance made by any member of Borrower (including any advance used to acquire the Property or to fund the remediation of the Property) except as expressly permitted in Section 7.5(f), (iii) to pay any amount in respect of the Mezzanine Loan, or (iv) for any purpose that would cause the Loan-to-Cost Ratio or the Loan-to-Value Ratio to exceed the limitations in Article VIII.

2.4 Interest

(a) **Applicable Rate.** Interest on the outstanding principal balance of the Loan shall accrue at all times at the Applicable Rate.

(b) **Payment.** Interest shall be calculated on the basis of a 360-day year and the actual number of days elapsed, and shall be payable monthly in arrears on the first (1st) Business Day of each calendar month, commencing on the first Business Day of the first full calendar month following the Closing Date.

(c) **Construction Period Interest; Interest Reserve.** During the Construction Period, and for so long as the Interest Reserve Balance is sufficient to pay interest then due, interest shall be funded by disbursements from the Interest Reserve Account as provided in Section 4.5. When and to the extent the Interest Reserve Balance is insufficient to pay interest when due, Borrower shall pay such interest from its own funds, and the Guarantors shall be obligated to do so pursuant to the Carry Guaranty, in each case without notice, demand or grace period beyond the third (3rd) Business Day following such insufficiency.

(d) **Mini-Perm Period Interest.** From and after the Construction Maturity Date, interest shall be payable by Borrower monthly in arrears from Borrower's own funds. No portion of the Interest Reserve may be applied to interest accruing after the Construction Maturity Date.

2.5 SOFR; Benchmark Replacement; Conforming Changes

(a) **Daily Simple SOFR.** If Lender determines that Daily Simple SOFR cannot be determined in accordance with its definition for any day, the rate for that day shall be the most recently published Daily Simple SOFR, and the next Business Day on which Daily Simple SOFR is determinable shall apply. Lender's determination of the Applicable Rate shall be conclusive absent manifest error.

(b) **Benchmark Transition.** If Lender determines in its reasonable discretion that (i) Daily Simple SOFR has been permanently or indefinitely discontinued or is no longer representative, (ii) the administrator of Daily Simple SOFR has made a public statement to that effect, or (iii) the regulatory supervisor of the administrator has made a public statement to that effect, then Lender may designate a replacement benchmark rate, giving due consideration to (A) any replacement rate or successor rate then recommended for the applicable loan type by the Alternative Reference Rates Committee ("**ARRC**") and (B) any evolving or then-prevailing market convention for syndicated and commercial real estate construction loans in the United States for such replacement. Lender shall determine any spread adjustment (including any ARRC-recommended spread adjustment) and any conforming changes to the definition of Business Day, the interest payment dates, the lookback period and the timing and frequency of rate determinations. Lender shall provide Borrower with not less than thirty (30) days' prior written notice of any such designation.

(c) **Conforming Changes.** Lender may make conforming changes to the timing and manner of determining the Applicable Rate, the interest payment dates and the lookback period, and such changes shall become effective without further consent of Borrower; provided that no such change shall increase the aggregate amount of interest payable by more than the sum of the applicable spread adjustment plus the replacement benchmark rate would produce.

(d) **SOFR Floor.** The SOFR Floor shall apply notwithstanding any discontinuation, replacement or negative rate.

2.6 Default Rate

Upon the occurrence and during the continuance of any Event of Default, the outstanding principal balance of the Loan and, to the extent permitted by applicable law, all other amounts payable hereunder (including past-due interest) shall bear interest at the Default Rate, compounded as provided in the Note, from the date of such Event of Default until the earlier of (a) the date on which such Event of Default is cured in a manner acceptable to Lender and (b) the date on which the Indebtedness is paid in full. The application of the Default Rate is not a waiver of, and does not cure, any Event of Default, and is in addition to all other remedies available to Lender. In no event shall the Default Rate exceed the Maximum Lawful Rate.

2.7 Payments; Application

All payments shall be made in immediately available funds to the account designated by Lender in writing, not later than 2:00 p.m. Eastern Time on the due date. Lender shall apply each payment in the following order: (a) costs, expenses and indemnities then due; (b) Fees then due; (c) accrued and unpaid interest (including Default Rate interest); (d) principal (including any mandatory curtailment); and (e) all other amounts. Lender may reorder the application of payments to the extent permitted by law or if an Event of Default exists. Payments received after 2:00 p.m. Eastern Time shall be deemed received on the next Business Day.

2.8 Computation; Rate Quotation

Interest shall be computed on the basis of a 360-day year for the actual number of days elapsed. Upon Borrower’s written request (not more frequently than monthly), Lender shall provide a written statement of the Daily Simple SOFR rate then in effect and the resulting Applicable Rate.

2.9 Fees

(a) **Origination Fee.** Borrower shall pay Lender an origination fee equal to one percent (1.00%) of the Loan Amount, or $475,000, payable in full on the Closing Date and fundable from the Initial Advance in accordance with the Approved Project Budget.

(b) **Unused Line Fee.** Borrower shall pay Lender an unused line fee at the rate of twenty-five hundredths of one percent (0.25%) per annum on the average daily undrawn amount of the commitment (calculated as the Loan Amount less the outstanding principal balance of the Loan), payable quarterly in arrears commencing on the first quarterly date following the Closing Date and on the date on which the Loan is paid in full. Borrower acknowledges that the unused line fee is an additional cost of the Loan that is not funded by any line item of the Approved Project Budget and shall be paid from Borrower’s own funds.

(c) **Exit Fee.** Borrower shall pay Lender an exit fee, payable on the date the Loan is repaid in full, equal to: (i) one-half of one percent (0.50%) of the outstanding

principal balance of the Loan at the time of repayment if the Loan is repaid at any time during the Construction Period; (ii) one-quarter of one percent (0.25%) of the outstanding principal balance of the Loan at the time of repayment if the Loan is repaid during the first six (6) months following the Construction Maturity Date; and (iii) zero (0%) if the Loan is repaid after the first six (6) months following the Construction Maturity Date. The exit fee is consideration for Lender's commitment to make the Loan and is not a prepayment premium.

(d) **Extension Fee.** If the Extension Option is exercised, Borrower shall pay Lender an extension fee equal to one-quarter of one percent (0.25%) of the then-outstanding principal balance of the Loan on or before the Mini-Perm Maturity Date.

(e) **Fees Earned.** All Fees are earned upon receipt, are non-refundable and, except as expressly provided in Section 2.9(a), shall not be paid from Loan proceeds.

(f) **Late Charge.** If any payment of principal, interest or Fees is not received within five (5) days after its due date, Borrower shall pay a late charge equal to five percent (5.00%) of the amount of such payment, which late charge is in addition to interest at the Default Rate and is intended to compensate Lender for administrative costs and not as a penalty.

2.10 Mandatory Prepayments

(a) **Casualty and Condemnation.** Borrower shall prepay the Loan with all net insurance proceeds and condemnation awards not applied to restoration in accordance with the Loan Documents, to the extent required therein.

(b) **Capital Events.** Upon any Capital Event, Borrower shall prepay the Loan in an amount equal to one hundred percent (100%) of the net cash proceeds thereof, together with all accrued interest, Fees (including the Exit Fee), and other amounts then due, unless Lender consents in writing to a substitute borrower or to the assumption of the Loan.

(c) **Illegality.** If Lender determines that any law, regulation or directive makes it unlawful for Lender to maintain or fund the Loan based on Daily Simple SOFR, Borrower shall prepay the Loan in full within thirty (30) days following written demand, together with all accrued interest, Fees and other amounts due.

(d) **Prepayment Premium.** Except for the Exit Fee payable under Section 2.9(c), no prepayment premium shall be payable; provided that the Exit Fee shall be payable upon each prepayment that results in payment in full of the Loan.

2.11 Usury Savings

Notwithstanding anything to the contrary, no provision of this Agreement or any other Loan Document shall require the payment or permit the collection of interest in excess of the Highest Lawful Rate. If any excess interest is provided for or determined to have been received, (a) the provisions of this Section shall govern and control, (b) neither Borrower nor any Guarantor shall be obligated to pay such

excess, (c) any excess actually received by Lender shall be applied to reduce the principal balance of the Loan (or, if the Loan has been paid in full, refunded to Borrower), and (d) the effective rate of interest shall be automatically reduced to the Highest Lawful Rate. To the extent permitted by N.C.G.S. § 24-1.1, the parties intend that the Loan be governed by the provisions thereof applicable to loans in the principal amount of $25,000 or more.

2.12 Maturity

The entire outstanding principal balance of the Loan, together with all accrued and unpaid interest, Fees and other amounts, shall be due and payable in full on the Maturity Date. Borrower shall not be entitled to any extension of the Maturity Date except pursuant to the Extension Option.

2.13 Extension Option

(a) **Grant.** Borrower shall have one (1) option (the **"Extension Option"**) to extend the Mini-Perm Maturity Date by six (6) months, to February 28, 2029 (the **"Extended Maturity Date"**), subject to satisfaction of each condition set forth on Exhibit G on or before the date that is sixty (60) days prior to the Mini-Perm Maturity Date.

(b) **Notice.** Borrower shall exercise the Extension Option, if at all, by irrevocable written notice delivered to Lender not less than sixty (60) days prior to the Mini-Perm Maturity Date, accompanied by the Extension Fee, the loan estimate or commitment for the Interest Rate Cap Agreement required by Exhibit G, and a certification that each condition on Exhibit G is satisfied.

(c) **No Automatic Extension.** If any condition on Exhibit G is not satisfied, the Extension Option shall not be effective and the Loan shall be due and payable on the Mini-Perm Maturity Date.

(d) **Drafting Note.** The Term Sheet provides that the Extension Option is "subject to satisfaction of customary conditions to be determined and set forth in the definitive Loan Agreement." The conditions on Exhibit G are drawn from Section 11 of the Credit Memorandum. Borrower has not agreed to them. Note in particular that Exhibit G requires a DSCR of 1.15x while Section 8.3 imposes a continuing covenant of 1.25x; the relationship between the two tests must be resolved (see Cover Memorandum, Issue 24).

2.14 Interest Rate Protection

If required by Exhibit G or by Section 8.3 as a result of a DSCR shortfall, Borrower shall obtain and maintain one or more Interest Rate Cap Agreements with a counterparty and on terms reasonably acceptable to Lender. Borrower shall collaterally assign each Interest Rate Cap Agreement to Lender, and the counterparty shall acknowledge such assignment. The cost of any Interest Rate Cap Agreement shall be borne by Borrower from its own funds and is not included in the Approved Project Budget.

ARTICLE III — CONDITIONS PRECEDENT TO CLOSING

3.1 Conditions Precedent

Lender’s obligation to make the Initial Advance is subject to the prior or simultaneous satisfaction (or written waiver by Lender) of each of the following conditions, each in form and substance satisfactory to Lender and its counsel:

(a) **Loan Documents.** Execution and delivery of this Agreement, the Note, the Deed of Trust, the Assignment of Rents, the Security Agreement, the Construction Contract Assignment, the Architect Assignment, the Pledge Agreements, the Guaranties, the Environmental Indemnity, the Equity Escrow Agreement and each other Loan Document, together with all schedules, exhibits and UCC-1 financing statements required by Lender, in each case duly authorized, executed, acknowledged where required, and delivered.

(b) **Senior Loan Committee Approval.** Written approval of the Loan by Lender’s Senior Loan Committee, in the amount and on the terms set forth in the Credit Memorandum, which approval shall not have been withdrawn, conditioned in a manner inconsistent with this Agreement, or expired.

(c) **Intercreditor Agreement.** Execution and delivery by Lender, Borrower and the Mezzanine Lender of the Intercreditor Agreement, which shall, at a minimum, (i) subordinate the Mezzanine Lender’s pledge of membership interests to Lender’s Membership Interest Pledge as a first-priority security interest, (ii) impose a standstill period of not less than ninety (90) days, (iii) grant the Mezzanine Lender notice and cure rights and a purchase option at par plus accrued interest, fees and costs, (iv) prohibit any modification of the Mezzanine Documents without Lender’s prior written consent, (v) prohibit the Mezzanine Lender from filing or joining in any involuntary petition against Borrower, and (vi) acknowledge the affiliate relationship among Brightleaf Investors Group LLC, Brightleaf Mezzanine Capital LLC and Thomas R. Chen. **This condition may not be waived.**

(d) **Organizational Documents; Member Consents.** Delivery of (i) certified copies of Borrower’s Articles of Organization and Amended and Restated Operating Agreement, as amended as required by Section 3.1(e) and Section 9.2, (ii) a certificate of good standing from the North Carolina Secretary of State dated not more than thirty (30) days prior to the Closing Date, and (iii) a unanimous written consent of all members of Borrower holding one hundred percent (100%) of the membership interests, expressly authorizing the Loan, the execution and delivery of the Loan Documents, the granting of the Liens (including the Membership Interest Pledge), the amendment of the Operating Agreement required hereby, the recording of the Deed Notice, and the transactions contemplated by the Intercreditor Agreement.

(e) **SPE Amendment; Independent Manager.** An amendment to Borrower’s Operating Agreement, in form and substance satisfactory to Lender, that (i) incorporates the separateness covenants set forth in Article IX, (ii) requires the affirmative vote of at least one (1) Independent Manager for any voluntary

bankruptcy filing, insolvency filing or general assignment for the benefit of creditors, and for any amendment of the bankruptcy-related provisions of the Operating Agreement, and (iii) provides that the Independent Manager may not be removed without Lender's prior written consent. Borrower shall deliver evidence reasonably satisfactory to Lender of the appointment of the Independent Manager concurrently with the Closing Date.

(f) **Non-Consolidation Opinion.** Delivery of a reasoned non-consolidation opinion of Calloway & Strauss PLLC, Borrower's counsel, addressed to Lender and dated the Closing Date, opining that, on the basis of the assumptions and qualifications stated therein and applying North Carolina law (with such reference to Delaware and other authority as counsel deems appropriate), a bankruptcy court would not substantively consolidate the assets and liabilities of Borrower with those of any Related Entity.

(g) **Equity Escrow Deposit.** Deposit of not less than $2,140,000 in cash into the Equity Escrow Account, together with (i) the Equity Escrow Agreement and (ii) evidence satisfactory to Lender that the source of such funds is not the Mezzanine Loan, any Affiliate of the Mezzanine Lender, Thomas R. Chen, Brightleaf Investors Group LLC, or any entity under common Control with any of the foregoing, including source-of-funds documentation and a certification of Borrower's Managing Member. **Drafting Note:** The Term Sheet does not impose an equity escrow condition, and the Credit Memorandum presents the equity escrow and a reduction of the Loan Amount as alternatives. The escrow does not cure the LTC exceedance unless it displaces Loan proceeds dollar-for-dollar (i.e., unless the Loan Amount is reduced to $45,360,000) or unless Total Project Costs are restated upward. See Cover Memorandum, Issues 1 through 4. Borrower's position on this condition and on the Loan Amount is reserved.

(h) **Title Policy and Payoff.** Issuance (or a binding commitment to issue at closing) of the Title Policy in an amount not less than $47,500,000, insuring the Deed of Trust as a valid first-priority Lien on both parcels, subject only to the Permitted Exceptions; and, with respect to the deed of trust in favor of Triangle Commercial Bank recorded in Book 6215, Page 892, Durham County Registry (the **"Prior Deed of Trust"**), delivery of (i) a current payoff letter from the holder thereof dated not more than thirty (30) days prior to the Closing Date, setting forth the outstanding principal balance, accrued interest and per diem, (ii) confirmation that funds sufficient to discharge the Prior Deed of Trust are identified in the sources and uses for the closing and are not required to fund any line item of the Approved Project Budget, and (iii) a recorded or recordable certificate of satisfaction or cancellation, or a title indemnity acceptable to Lender permitting deletion of the Prior Deed of Trust as an exception.

(i) **Survey.** Delivery of the Survey, and Lender's and the Title Company's receipt of the Survey in form satisfactory to each of them, deleting or modifying the standard survey exceptions and confirming the legal description in Exhibit A, the location of all easements and improvements, and the metes and bounds description of the Environmental Restricted Area. **Drafting Note:** The legal description in the Title

Commitment is internally inconsistent (Parcel 2's northern boundary is described as 297.63 feet, but the same call is described as terminating at the northeast corner of Parcel 1, which lies 305.41 feet from the common corner — a 7.78-foot discrepancy). Exhibit A must be conformed to the Survey. See Cover Memorandum, Issue 17.

(j) **Environmental Deliverables.** Delivery of (i) the full Phase I Environmental Site Assessment dated October 28, 2024 (Sentinel Project No. SEC-2024-1147) together with a reliance letter in favor of Lender, (ii) the full Phase II Environmental Site Assessment dated August 30, 2024 (Sentinel Project No. SEC-2024-1089) together with a reliance letter in favor of Lender, (iii) the NFA Letter, (iv) evidence that the Deed Notice has been recorded in the Durham County Registry as required by condition 4 of the NFA Letter, or, if not recorded, a written extension or confirmation from NCDEQ that the deadline has been satisfied or extended, (v) NCDEQ's written approval of the Soil Management Plan, and (vi) the design of the Vapor Mitigation System by a licensed North Carolina professional engineer, together with evidence that the design and its cost are incorporated in the Approved Plans and Specifications and the Approved Project Budget. **Drafting Note:** See Cover Memorandum, Issues 23 through 27; the Credit Memorandum and the Term Sheet assume the Deed Notice has been recorded, the Phase I ESA records no evidence of recording, and the Title Commitment (which searches the public records through December 5, 2024) does not show it as an exception.

(k) **Resolution of the Residential Use Restriction.** Evidence satisfactory to Lender of the resolution of the conflict between the non-residential use restriction applicable to the Environmental Restricted Area and the placement of residential units above or within that area, by one or more of: (i) a written modification of the NFA Letter by NCDEQ permitting residential use subject to the Vapor Mitigation System and any additional engineering controls; (ii) redesign of the Project so that no residential unit, and no occupied residential space, is located within or above the Environmental Restricted Area, certified by the Project Architect and confirmed by overlay of the building floor plans on the environmental delineation; or (iii) a written determination of NCDEQ that the restriction applies only to the soils within the restricted area and does not prohibit residential occupancy of enclosed structures constructed above it with the Vapor Mitigation System in operation. At Lender's election, this condition may be satisfied as a condition to Advances for construction within or above the Environmental Restricted Area pursuant to Section 10.6 rather than as a condition to closing.

(l) **Brightleaf Historic District Association Approval.** Evidence that the Architectural Review Committee of the Brightleaf Historic District Association, Inc. has approved the Approved Plans and Specifications, or that the sixty (60) day deemed-approval period under Article V of the Declaration recorded in Book 6984, Page 1155, Durham County Registry, has elapsed without written action by the Architectural Review Committee, or a written opinion of Borrower's counsel (reasonably acceptable to Lender) that the Declaration does not require such approval for the Project. **Drafting Note:** The Appraisal states the design has been

reviewed and approved by the Association; the Title Commitment states the Title Company has received no evidence of submission or approval. See Cover Memorandum, Issue 20.

(m) **Governmental Approvals.** Evidence of all building permits, grading permits, utility approvals and other governmental approvals necessary to commence and complete construction of the Project, and a zoning compliance letter from the City of Durham confirming that the Project is permitted as of right under the MU-D (Mixed Use — Downtown) zoning classification without variance, special use permit, conditional zoning or rezoning.

(n) **Construction Documents.** Delivery of the fully executed Construction Contract (GMP of $34,750,000) and Architect Agreement, each in form and substance satisfactory to Lender, together with Lender's receipt of a report from the Construction Inspector approving the Approved Plans and Specifications, the Construction Schedule and the sufficiency of the Approved Project Budget; and delivery of the General Contractor's current financial statements and evidence of payment and performance bonding capacity in amounts and form satisfactory to Lender. **Drafting Note:** The Term Sheet does not require contractor financial statements or bonds; the Credit Memorandum lists them as a diligence item. See Cover Memorandum, Issue 41.

(o) **Insurance.** Certificates of insurance and certified copies of policies evidencing the coverages required by Article XI, in form and substance satisfactory to Lender, naming Lender as mortgagee, loss payee and additional insured as its interests may appear.

(p) **Financial Statements and Certification.** Delivery of (i) Borrower's financial statements for the most recent fiscal year and interim period, together with a schedule reconciling Borrower's stated net worth of $14,200,000 to its balance sheet and to the assets and liabilities reflected in the Loan Documents, and (ii) current personal financial statements of each Guarantor, together with supporting liquidity evidence and federal income tax returns for the two most recent taxable years. **Drafting Note:** Borrower's stated net worth of $14,200,000 cannot be reconciled on the face of the record to a balance sheet consisting of the Property at a basis of $8,200,000 and the Prior Deed of Trust. See Cover Memorandum, Issue 31.

(q) **Legal Opinions.** Delivery of opinions of Borrower's counsel as to due organization, valid existence and good standing; due authorization and execution; enforceability of the Loan Documents; the valid creation and first priority of the Liens granted to Lender (subject to the Permitted Exceptions); the non-consolidation opinion required by Section 3.1(f); and such other matters as Lender may reasonably request.

(r) **Mezzanine Loan Closing.** Concurrent closing of the Mezzanine Loan, on terms consistent with the Intercreditor Agreement and the Term Sheet, and delivery of evidence that the Mezzanine Loan proceeds are applied solely in

accordance with the sources and uses statement approved by Lender for the closing.

(s) **Casualty/Flood Determination.** A standard flood hazard determination confirming that no portion of the Property is located in a Special Flood Hazard Area, or, if any portion is, evidence of flood insurance in the amount required by Lender. **Drafting Note:** The Appraisal identifies FEMA panel 3710406400J (effective May 2, 2019) while the Phase I ESA identifies panel 3720098700J (effective March 2, 2009); both conclude Zone X. A current determination must be obtained. See Cover Memorandum, Issue 16.

(t) **Know Your Customer; OFAC.** Completion of Lender's customer due diligence and beneficial ownership verification with respect to Borrower, each member of Borrower, Thomas R. Chen and each Guarantor, with no adverse findings.

(u) **Expense Deposit Reconciliation.** Delivery of a statement reconciling the $75,000 expense deposit paid pursuant to Section 22 of the Term Sheet against Lender's costs and expenses incurred to date.

(v) **No Material Adverse Change.** No Material Adverse Effect shall have occurred, and no material adverse change shall have occurred in the financial condition of Borrower or any Guarantor, or in general real estate, credit market or interest rate conditions, in each case as determined by Lender in its reasonable discretion.

(w) **Closing Costs.** Payment of all Fees due at closing, all costs and expenses of Lender (including the fees and disbursements of Ashford, Cromdale Consulting & Laine LLP) and all title, recording, survey and appraisal costs, in each case to the extent not funded from the Initial Advance in accordance with the Approved Project Budget.

3.2 Waiver of Conditions

Lender may, in its sole discretion, waive any condition precedent to closing in writing, and any such waiver shall be limited to the specific condition waived and shall not constitute a waiver of any other condition, any covenant, or any Event of Default. Lender shall not be deemed to have waived any condition by making the Initial Advance if Lender has not received written notice of the non-satisfaction of such condition.

ARTICLE IV — ADVANCES; DISBURSEMENT PROCEDURES; INTEREST RESERVE

4.1 Advances Generally

Lender shall make Advances in accordance with the Draw Schedule attached as Exhibit C. Each Advance shall be in the amount and for the milestone set forth in the Draw Schedule, and the aggregate of all Advances shall not exceed the Loan Amount. Lender's obligation to make any Advance is subject to (a) the satisfaction of each condition in Section 4.2 and (b) the absence of any Event of Default and of

any condition that with notice or lapse of time, or both, would constitute an Event of Default. Amounts identified in the Draw Schedule as "contingency" or "developer fee" are not scheduled disbursements; they shall be advanced only upon Lender's written approval following satisfaction of Section 4.10 (contingency) or Section 7.5 (developer fee), respectively. **Drafting Note:** The Draw Schedule as delivered schedules contingency and developer fee amounts in Draws 2 through 9 notwithstanding that those items are reserves under the Approved Project Budget. See Cover Memorandum, Issue 15.

4.2 Conditions Precedent to Each Advance

Lender's obligation to make any Advance (including the Initial Advance and each subsequent Advance) is subject to the satisfaction of each of the following conditions as of the date of the Advance:

(a) **No Default.** No Event of Default, and no condition that with notice or lapse of time, or both, would constitute an Event of Default, shall exist under any Loan Document, the Mezzanine Documents or the Intercreditor Agreement.

(b) **Representations True.** Each representation and warranty in Article V and in each other Loan Document shall be true and correct in all material respects as of the date of the Advance with the same effect as if made on that date.

(c) **Requisition.** Delivery of a Requisition in the form of Exhibit J, executed by Borrower and certified by the Managing Member, not less than fifteen (15) days prior to the requested Advance date, together with the supporting documentation described in Section 4.2(d) through (j).

(d) **AIA Application for Payment.** A completed AIA Application and Certificate for Payment (Form G702) and Continuation Sheet (Form G703), certified by the Project Architect and the General Contractor, allocating the requested amount among the line items of the Approved Project Budget.

(e) **Construction Inspector's Report.** A report from the Construction Inspector (engaged by Lender at Borrower's expense) confirming (i) achievement of the milestone for the requested Advance, (ii) the percentage of completion claimed, (iii) that the work complies with the Approved Plans and Specifications, (iv) that the remaining undisbursed Loan proceeds and Borrower's committed equity are sufficient to complete the Project free of liens, and (v) the absence of defective work or material cost overruns.

(f) **Lien Waivers.** Conditional partial lien waivers in the statutory form prescribed by N.C.G.S. § 44A-23 (for the General Contractor, upon receipt of payment) and N.C.G.S. § 44A-24 (for subcontractors and materialmen) from the General Contractor and each subcontractor and materialman that has furnished labor or materials through the prior draw period, together with a certification from the General Contractor that all such waivers have been obtained and that no claimant has asserted a claim of lien.

(g) **Title Date-Down.** A date-down or bring-down endorsement to the Title Policy from the Title Company, effective as of a date not more than ten (10) days prior to the Advance, confirming the continued first-priority status of the Deed of Trust and the absence of any intervening Lien or encumbrance other than the Permitted Exceptions.

(h) **Interest Reserve Adequacy Test.** Evidence that the Interest Reserve Adequacy Test in Section 4.5(d) is satisfied, together with Borrower's deposit of any additional amount required by Section 4.5(e).

(i) **Equity First.** With respect to every Advance other than the Initial Advance, the Equity Escrow Deposit shall have been fully disbursed and applied to Project Costs in accordance with the Equity Escrow Agreement. **Drafting Note:** The "equity first" requirement of the Credit Memorandum conflicts with the Initial Advance of $9,475,000 made at zero percent (0%) completion, which disburses one hundred percent (100%) of Soft Costs, the entire Interest Reserve and the Origination Fee before any Borrower equity is at risk. See Cover Memorandum, Issue 14.

(j) **Insurance; Compliance Certificate.** Evidence of continued compliance with Article XI, and a compliance certificate in the form of Exhibit I certifying as to each financial covenant in Article VIII and each representation in Article V.

(k) **Budget Reconciliation.** An updated sources-and-uses reconciliation and construction budget reconciliation demonstrating that (i) the Project remains within the Approved Project Budget, (ii) no cost overrun exists, or, if one exists, that Borrower has deposited the amount of the overrun in accordance with Section 4.10, and (iii) the remaining undisbursed Loan proceeds plus Borrower's available equity are sufficient to complete the Project.

(l) **No Material Adverse Change.** No Material Adverse Effect shall have occurred since the Closing Date or the immediately preceding Advance.

(m) **Environmental Compliance.** Evidence of compliance with each condition of the NFA Letter and Article X, including, if construction has reached the Environmental Restricted Area, evidence that the conditions of Section 10.6 have been satisfied.

4.3 Retainage

Lender shall retain, from each Advance for Hard Costs, Retainage equal to ten percent (10%) of the Hard Costs covered by such Advance, resulting in aggregate Retainage of $3,475,000 (10% of the $34,750,000 GMP). Retainage shall be released as the final Advance (Draw 9) only upon satisfaction of each of the following: (a) issuance of a final certificate of occupancy by the City of Durham for all residential units and retail space in the Project; (b) delivery of final, unconditional lien waivers from the General Contractor, all subcontractors and all materialmen in the statutory forms prescribed by N.C.G.S. § 44A-23 and § 44A-24; (c) delivery of the Project Architect's certificate of final completion; (d) expiration of the one hundred twenty (120) day period for filing a claim of lien under N.C.G.S. § 44A-12, or, in the alternative, delivery of a lien bond in form and amount

satisfactory to Lender; (e) delivery of as-built plans and specifications and all warranties, guaranties and manuals; and (f) confirmation from the Construction Inspector that the Project has been completed in accordance with the Approved Plans and Specifications and that no punch-list item exceeding $[50,000] in the aggregate remains outstanding. **Drafting Note:** The Term Sheet and the Credit Memorandum fix the retainage release at $3,275,000, which is $200,000 less than the 10% Retainage of $3,475,000 required by the same documents. The $200,000 difference is unexplained and must be reconciled. See Cover Memorandum, Issue 13.

4.4 Disbursement Mechanics

(a) Lender shall use commercially reasonable efforts to fund each approved Advance within ten (10) Business Days after Lender's receipt of a complete and conforming Requisition and all supporting documentation.

(b) Lender may, at its election, disburse any Advance directly to the Title Company for disbursement pursuant to the Title Company's closing and disbursement instructions, and Borrower's execution of a Requisition shall constitute irrevocable authorization for such direct disbursement.

(c) Lender shall not be obligated to make any Advance in an amount in excess of the lesser of (i) the amount requested and approved and (ii) the amount remaining available under the Loan Amount after reserving (A) the undisbursed Retainage, (B) the Interest Reserve Balance required for the remainder of the Construction Period, and (C) Lender's reasonable estimate of the cost to complete the Project.

(d) If Lender determines at any time that the undisbursed Loan proceeds, together with Borrower's committed and available equity, are insufficient to complete the Project free of liens, Lender may (i) suspend further Advances, and (ii) require Borrower or the Guarantors to deposit the deficiency with Lender. Any such deposit shall be held and disbursed by Lender for Project Costs before any further Advance is made.

(e) Lender's approval of any Advance shall not constitute approval of the work or a waiver of any defect, and shall not relieve Borrower, the General Contractor or the Project Architect of any obligation.

4.5 Interest Reserve

(a) **Funding.** On the Closing Date, Lender shall fund the Interest Reserve of $4,850,000 from the proceeds of the Initial Advance, and shall record the Interest Reserve as a ledger sub-account of the Loan (the **"Interest Reserve Account"**). The Interest Reserve is not a segregated deposit of Borrower and does not constitute trust funds; amounts disbursed from the Interest Reserve Account are applied to interest accruing on the Loan and do not reduce the outstanding principal balance of the Loan, except to the extent the Loan Documents provide otherwise.

(b) **Application.** So long as the Interest Reserve Balance is sufficient, Lender shall apply the Interest Reserve to interest accruing on the Loan during the Construction Period on each interest payment date. The Interest Reserve shall not be applied to principal, Fees, Default Rate interest, or interest accruing after the Construction Maturity Date.

(c) **Statement.** Lender shall deliver to Borrower, concurrently with each monthly interest statement, a reconciliation of the Interest Reserve Balance, the interest accrued during the period, and the projected remaining interest cost through the Construction Maturity Date.

(d) **Interest Reserve Adequacy Test.** At each Requisition, and in any event not less frequently than quarterly, Lender shall perform an adequacy test comparing (i) the Interest Reserve Balance to (ii) the projected interest cost through the earlier of the next anticipated Advance date or ninety (90) days from the date of the test, in each case determined at the Applicable Rate then in effect and the then-projected outstanding principal balance (the **"Interest Reserve Adequacy Test"**). **Drafting Note:** The Draw Schedule's own analysis projects a surplus of $221,325 assuming Daily Simple SOFR of 3.50%; the same analysis at 4.35% (the rate used throughout the Credit Memorandum and the Term Sheet) projects a shortfall of approximately $365,830; and the Credit Memorandum projects a shortfall of $565,000. The three results cannot all be correct. See Cover Memorandum, Issues 9 and 10.

(e) **Replenishment.** If the Interest Reserve Adequacy Test is not satisfied at any time, Borrower shall, within five (5) Business Days after written notice from Lender (and, if the deficiency is identified in connection with a Requisition, before the requested Advance is funded), deposit into the Interest Reserve Account an amount sufficient to satisfy the test. All such deposits shall be made from Borrower's own funds, and may not be made from Loan proceeds, Mezzanine Loan proceeds, or any Distribution.

(f) **Guarantor Backstop.** If Borrower fails to fund any deposit required by Section 4.5(e), the Guarantors shall be obligated to fund such amount on demand pursuant to the Carry Guaranty.

(g) **No Waiver.** Lender's acceptance of any deposit or its failure to perform the Interest Reserve Adequacy Test at any time shall not constitute a waiver of Borrower's obligations under this Section, nor a release of the Guarantors under the Carry Guaranty.

4.6 Equity Funding

Borrower shall fund all equity required to complete the Project, including the Equity Escrow Deposit and all cost overruns, from its own funds and from sources approved in writing by Lender. Borrower shall not fund any portion of the Equity Escrow Deposit or any cost overrun from Loan proceeds, Mezzanine Loan proceeds, any Affiliate of the Mezzanine Lender, or any member loan that is secured by the Property or the membership interests in Borrower.

4.7 Construction Inspector

Lender shall engage, at Borrower’s expense and pursuant to a scope of work approved by Lender, a third-party construction inspector (the **“Construction Inspector”**) to review the Approved Plans and Specifications, the Construction Schedule, the Approved Project Budget and the progress of construction, and to deliver the reports required by Section 4.2(e) and Section 6.10. Borrower shall provide the Construction Inspector with full access to the Property, the Construction Documents and the General Contractor’s records, and shall cause the General Contractor and the Project Architect to cooperate with the Construction Inspector.

4.8 Direct Costs of Lender

All fees and expenses of the Construction Inspector, the Title Company, the Surveyor, the appraiser, the environmental consultant and Lender’s counsel shall be borne by Borrower as provided in Section 18.5, and shall be paid from Borrower’s own funds to the extent not included in the Approved Project Budget.

4.9 Change Orders

(a) Borrower shall deliver to Lender each proposed change order, change directive, construction change or field order under the Construction Contract or the Architect Agreement (each, a **“Change Order”**) not less than five (5) Business Days prior to execution, accompanied by the General Contractor’s and Project Architect’s written estimate of the cost and schedule impact.

(b) Lender’s prior written consent shall be required for any Change Order that, individually or in the aggregate with all other Change Orders since the Closing Date, (i) increases the GMP by more than $[100,000], (ii) reduces the scope of the Project in any material respect, (iii) delays Substantial Completion, (iv) affects the structural, mechanical, electrical, plumbing, life-safety, building-envelope or garage-vapor-mitigation systems, or (v) is inconsistent with the Approved Plans and Specifications or with any condition of the NFA Letter.

(c) No Change Order shall be effective, and Borrower shall not be permitted to pay for any Change Order from Loan proceeds, unless (i) the Change Order is approved by Lender in writing and (ii) the cost thereof is funded from the contingency in the Approved Project Budget or from Borrower’s equity deposited with Lender.

4.10 Contingency and Cost Overruns

(a) The contingency line items in the Approved Project Budget ($1,140,000 hard cost contingency and $300,000 soft cost contingency) are reserves. They shall be advanced only upon Lender’s written approval of a specific Requisition identifying the cost, its cause and the reason it is not covered by a budgeted line item.

(b) Any Project Cost in excess of the Approved Project Budget (a **“Cost Overrun”**) shall be funded by Borrower from its own funds (and, failing that, by the Guarantors pursuant to the Completion Guaranty) before Lender is obligated to

make any further Advance. Borrower shall deposit the amount of any Cost Overrun with Lender or the Title Company in immediately available funds upon Lender’s written demand.

(c) Borrower’s obligation to fund Cost Overruns is not limited to the contingency amounts and is not released by Lender’s approval of any Advance, Change Order or budget modification.

4.11 Suspension and Termination of Advances

Lender may, without liability, suspend or terminate its obligation to make Advances if (a) any Event of Default exists, (b) any condition in Section 4.2 is not satisfied, (c) Lender determines that the Project cannot be completed in accordance with the Approved Plans and Specifications, the Approved Project Budget and the Construction Schedule within the Loan Amount and Borrower’s committed equity, (d) any condition of the NFA Letter is breached, (e) construction has not reached a milestone set forth in the Construction Schedule within [thirty (30)] days after the scheduled date, or (f) the Construction Inspector reports defective work, an unbonded lien, or a cost to complete that exceeds available funds. Suspension shall not constitute a waiver of any Event of Default.

ARTICLE V — REPRESENTATIONS AND WARRANTIES

Borrower represents and warrants to Lender, as of the Effective Date, the Closing Date and each date on which an Advance is made, as follows:

5.1 Organization; Power; Good Standing

Borrower is a limited liability company duly organized, validly existing and in good standing under the laws of the State of North Carolina (File No. 1923847), and has all requisite power and authority to own the Property, to carry on its business as presently conducted and as proposed to be conducted, and to execute, deliver and perform its obligations under the Loan Documents. Borrower is qualified to do business in each jurisdiction in which the nature of its business or the ownership of its Property requires qualification.

5.2 Authorization; Enforceability

The execution, delivery and performance by Borrower of each Loan Document have been duly authorized by all necessary limited liability company action of Borrower, including the unanimous written consent of all members required by Section 3.1(d), and do not and will not (a) violate Borrower’s Articles of Organization or Operating Agreement, (b) violate any law, order or judgment applicable to Borrower or the Property, (c) result in a breach of or default under any agreement to which Borrower is a party (including the Mezzanine Documents, the Operating Agreement and the Construction Documents), or (d) result in the creation of any Lien on the Property other than in favor of Lender. Each Loan Document constitutes the legal, valid and binding obligation of Borrower, enforceable against Borrower in accordance with its terms, subject to applicable

bankruptcy, insolvency, reorganization, moratorium and similar laws and to general principles of equity.

5.3 Ownership; Membership Interests

Borrower has good and marketable fee simple title to the Property, free and clear of all Liens other than the Permitted Exceptions and the Prior Deed of Trust (which shall be satisfied and released at closing). The membership interests in Borrower are held as follows and in no other manner: Elena Vasquez-Torres — 62% (Managing Member); Brightleaf Investors Group LLC — 28%; Reginald K. Osei — 10%. There are no other membership interests, options, warrants, profits interests, phantom equity, convertible instruments or rights to acquire any interest in Borrower. Other than the Membership Interest Pledge and the pledge in favor of the Mezzanine Lender contemplated by the Intercreditor Agreement, no membership interest is pledged, encumbered or subject to any voting trust or proxy.

5.4 Capital Structure; No Undisclosed Contributions

Attached as Schedule 5.4 is a true, correct and complete statement of (a) all capital contributions made to Borrower since formation, (b) the source of the funds used to acquire the Property, including the amount and date of every member advance, member loan and third-party borrowing used for that purpose, and (c) the outstanding balance of and security for each such advance or borrowing. No portion of the funds used to acquire the Property was provided, directly or indirectly, by the Mezzanine Lender or any Affiliate of the Mezzanine Lender except as disclosed on Schedule 5.4. **Drafting Note:** The Term Sheet states the land was funded from member capital contributions; the Organizational Chart states it was contributed by Elena Vasquez-Torres from personal resources; and the Draw Schedule’s Detailed Budget states it was funded by Mezzanine Loan proceeds. See Cover Memorandum, Issue 5.

5.5 Litigation

There is no action, suit, proceeding, arbitration, investigation or governmental inquiry pending or, to Borrower’s knowledge, threatened against Borrower, any Guarantor, any Related Entity or the Property that (a) could reasonably be expected to have a Material Adverse Effect, (b) questions the validity of any Loan Document or the priority of any Lien granted to Lender, or (c) relates to any environmental condition at the Property.

5.6 Zoning; Permits; Compliance with Laws

The Property is zoned MU-D (Mixed Use — Downtown) under the City of Durham Unified Development Ordinance, and the Project as designed is permitted as of right without variance, special use permit, conditional zoning or rezoning. All permits, licenses, approvals and authorizations necessary to commence and complete construction of the Project have been or will be obtained prior to the commencement of the applicable phase of construction. Borrower and the Property are in compliance with all applicable laws, ordinances, rules, regulations and

orders, including the North Carolina State Building Code and the Durham Unified Development Ordinance.

5.7 Environmental Representations

(a) Borrower has delivered to Lender true and complete copies of the Phase I ESA, the Phase II ESA, the NFA Letter and the Deed Notice, and there are no other environmental reports, investigations, notices of violation, orders, consent agreements or claims relating to the Property that have not been delivered to Lender.

(b) Borrower has not received any notice of violation, notice of non-compliance, information request, demand, claim or order from NCDEQ, the United States Environmental Protection Agency or any other governmental authority relating to the Property, other than the NFA Letter.

(c) The conditions of the NFA Letter have been and are being complied with in all respects, including (i) the recording of the Deed Notice within sixty (60) days after September 30, 2024, (ii) the restriction of the Environmental Restricted Area to non-residential use, (iii) the approval and implementation of the Soil Management Plan, and (iv) the design, installation and (to the extent applicable) maintenance of the Vapor Mitigation System.

(d) There are no underground or above-ground storage tanks, sumps, dry wells, septic systems, landfills, impoundments or asbestos-containing materials, polychlorinated biphenyls or lead-based paint at, on, under or emanating from the Property, except as disclosed in the Phase I ESA and the Phase II ESA.

(e) No residential unit, and no occupied residential space, is located within or above the Environmental Restricted Area, except as disclosed in Schedule 5.7(e) and as resolved in accordance with Section 3.1(k). **Drafting Note:** The Credit Memorandum asserts that fourteen residential units are located above the restricted area; the Phase I ESA states that this has not been verified and recommends that it be determined by overlay. See Cover Memorandum, Issue 24.

(f) Borrower has not assumed, undertaken or agreed to indemnify any Person for any environmental liability, and does not have any contingent environmental liability that could reasonably be expected to have a Material Adverse Effect.

5.8 Title; Survey; Legal Description

The legal description of the Property set forth in Exhibit A is true, correct and complete, conforms to the Survey, and describes the entire Property. There are no encroachments onto or off of the Property, no boundary line disputes, no unrecorded easements and no parties in possession other than Borrower and its tenants under Leases approved by Lender.

5.9 Financial Statements

Borrower has delivered to Lender its financial statements for the fiscal year ended [●] and for the interim period ended [●] (the **"Financial Statements"**). The

Financial Statements (a) are complete and correct in all material respects, (b) fairly present the financial condition and results of operations of Borrower as of the dates and for the periods indicated, (c) were prepared in accordance with GAAP consistently applied, and (d) disclose all liabilities, contingent or otherwise, of Borrower. Borrower's net worth as reflected in the Financial Statements is not less than $14,200,000, and Schedule 5.9 reconciles that amount to Borrower's balance sheet and to the assets and liabilities described in the Loan Documents. Since the date of the Financial Statements there has been no material adverse change in the financial condition of Borrower.

5.10 No Default; Solvency

No Event of Default exists, and no default or event of default exists under the Mezzanine Documents, the Operating Agreement, the Construction Contract or the Architect Agreement. Borrower is solvent, is able to pay its debts as they become due, and owns property having a fair saleable value greater than its liabilities. Borrower is not entering into the Loan with the intent to hinder, delay or defraud any creditor.

5.11 Contributions and Equity

All capital contributions made to Borrower, and all equity to be contributed to fund the Equity Escrow Deposit, have been and will be made in cash or in the Property as disclosed in Schedule 5.4. No portion of the Equity Escrow Deposit is or will be derived from the Mezzanine Loan, any Affiliate of the Mezzanine Lender, or any financing secured directly or indirectly by the Property or the membership interests in Borrower.

5.12 Mezzanine Loan

Lender has received a true and complete copy of each Mezzanine Document and each side letter relating thereto. The Mezzanine Loan is in the original principal amount of $9,200,000, bears interest at 12.50% per annum fixed, matures coterminally with the Loan (including any extension), and is secured only by a pledge of 100% of the membership interests in Borrower, subject to the Intercreditor Agreement. There is no other mezzanine, gap, preferred equity or subordinate financing in the capital structure of the Project.

5.13 Single-Purpose Entity

Borrower is, and since its formation on March 14, 2019 has at all times been, a single-purpose entity within the meaning of Article IX, has no subsidiaries, and holds no assets other than the Property and the Project assets.

5.14 Plans; Construction Contract; Budget

The Approved Plans and Specifications are complete and sufficient for the construction of the Project, and have been prepared by the Project Architect in accordance with applicable law and the requirements of the Declaration of the Brightleaf Historic District Association. The Construction Contract is a valid,

enforceable guaranteed maximum price contract in the amount of $34,750,000, has been executed and delivered by Borrower and the General Contractor, and is in full force and effect. The Approved Project Budget includes all costs necessary to complete the Project in accordance with the Approved Plans and Specifications, other than the costs identified on Schedule 5.14 (which identifies, at a minimum, the payoff of the Prior Deed of Trust, the unused line fee, any exit fee, any extension fee, the cost of any Interest Rate Cap Agreement, and the Mezzanine Loan debt service). **Drafting Note:** None of the identified items is included in the Approved Project Budget. See Cover Memorandum, Issues 6 and 8.

5.15 Insurance

Borrower has obtained, and will maintain, each insurance policy required by Article XI, each of which is in full force and effect, provides the required limits and coverages, and names Lender as mortgagee, loss payee and additional insured as its interests may appear.

5.16 Taxes

Borrower has filed all required tax returns and paid all taxes shown to be due, and there are no pending or, to Borrower’s knowledge, threatened tax liens, audits or assessments affecting Borrower or the Property. The 2024 ad valorem taxes for both parcels have been paid in full.

5.17 No Brokers

No broker, finder or agent is entitled to any commission or fee in connection with the Loan based on any arrangement made by or on behalf of Borrower, other than as disclosed to Lender in writing.

5.18 OFAC; Anti-Money Laundering; Anti-Corruption

Neither Borrower, any member of Borrower, any Guarantor, nor any Person owning a direct or indirect interest in Borrower is (a) a Person named on the Specially Designated Nationals and Blocked Persons List maintained by OFAC, (b) organized or resident in a country or territory subject to comprehensive sanctions, or (c) a senior foreign political figure or an immediate family member or close associate of such a person. Borrower is in compliance with the Patriot Act, the Bank Secrecy Act and the Foreign Corrupt Practices Act.

5.19 Full Disclosure

No representation or warranty of Borrower or any Guarantor in any Loan Document, and no certificate, schedule, report or written statement furnished to Lender in connection with the Loan, contains any untrue statement of a material fact or omits to state a material fact necessary to make the statements made therein not misleading in light of the circumstances under which they were made. Borrower acknowledges that Lender has relied on the Term Sheet, the Credit Memorandum and the third-party reports identified in Section 5.7 in making the Loan.

5.20 Survival

Each representation and warranty shall survive the Closing Date, the making of each Advance and the repayment of the Loan, and shall be deemed remade as of the date of each Advance.

ARTICLE VI — AFFIRMATIVE COVENANTS

Borrower covenants and agrees that, from the Closing Date and until the Indebtedness is paid in full and the Loan Documents are terminated, Borrower shall:

6.1 Existence; Good Standing

Maintain its existence and good standing as a North Carolina limited liability company; maintain all qualifications, licenses, permits and approvals necessary for the ownership of the Property and the construction and operation of the Project; and remain in compliance with Article IX.

6.2 Completion of the Project

(a) Construct and complete the Project in a good and workmanlike manner, free of liens and in accordance with the Approved Plans and Specifications, the Approved Project Budget, the Construction Schedule, applicable law and the conditions of the NFA Letter.

(b) Achieve Substantial Completion on or before the Construction Maturity Date, and achieve a final certificate of occupancy for all residential units and retail space on or before the date that is ninety (90) days after Substantial Completion. **Drafting Note:** The guaranteed completion date under Section 7.1 of the Term Sheet and under the Completion Guaranty is August 28, 2027, while the Project's projected substantial completion date, as reflected in the Term Sheet, the Credit Memorandum and the Appraisal, is August 31, 2027. The completion obligation as drafted is three (3) days earlier than the Project can be completed on its own schedule. See Cover Memorandum, Issue 28.

(c) Cause the General Contractor and each subcontractor to perform in accordance with the Construction Documents; not permit any work to be performed outside the Approved Plans and Specifications except pursuant to an approved Change Order; and not permit any construction to commence before the Deed of Trust has been recorded.

(d) Promptly cure any defective work, and replace any defective or non-conforming materials at Borrower's sole cost.

(e) Comply with the General Contractor's warranty obligations and enforce and assign to Lender, upon Lender's request, all warranties, guaranties and sureties relating to the Project.

(f) Achieve each milestone set forth in Exhibit D within the number of days after the scheduled milestone date specified therein (and in any event not more than

ninety (90) days behind the Construction Schedule at any time, consistent with Section 14.1(i)).

6.3 Plans and Specifications

Not modify, amend or deviate from the Approved Plans and Specifications in any material respect without Lender’s prior written consent, and not permit any modification that would (a) reduce the number of residential units or retail square footage, (b) alter the unit mix, (c) affect the structural, life-safety, building envelope or vapor mitigation systems, (d) affect compliance with the NFA Letter, or (e) increase Total Project Costs, in each case without Lender’s prior written consent. Borrower shall deliver to Lender each revision of the Approved Plans and Specifications promptly upon issuance.

6.4 Insurance

Maintain in full force and effect each insurance policy required by Article XI, and deliver to Lender evidence of renewal not less than ten (10) days prior to the expiration of each policy.

6.5 Taxes and Liens

Pay and discharge, before delinquency, all taxes, assessments, governmental charges and claims for labor and materials that could become a Lien on the Property; and, if any Lien (other than a Permitted Exception) is recorded against the Property, cause such Lien to be released, bonded over or otherwise removed within thirty (30) days after receipt of notice thereof, or, if such Lien is contested in good faith and by appropriate proceedings, bonded over in an amount and manner satisfactory to Lender.

6.6 Compliance with Laws

Comply with all applicable federal, state and local laws, statutes, ordinances, rules, regulations, orders and permits, including Environmental Laws, the American with Disabilities Act, the Fair Housing Act, and the North Carolina State Building Code and Residential Code.

6.7 Environmental Covenants

Comply with each covenant in Article X.

6.8 Single-Purpose Entity

Comply with each covenant in Article IX.

6.9 Financial Covenants

Comply with each financial covenant in Article VIII.

6.10 Reporting

Deliver to Lender each report, certificate and notice required by Exhibit F, at the times and in the form specified therein, including monthly construction progress

reports, quarterly and annual financial statements, compliance certificates, interest reserve reconciliations, guarantor liquidity certifications, NFA compliance reports and prompt notice of any material adverse development. **Drafting Note:** Exhibit F consolidates the reporting requirements of Sections 13 and 21 of the Term Sheet and Section 10.3 of the Credit Memorandum, which are not identical (for example, the Term Sheet requires monthly progress reports within fifteen (15) days of month end while the Credit Memorandum does not specify a deadline; and the Term Sheet requires quarterly unaudited Borrower financial statements while the Credit Memorandum requires annual audited statements only). See Cover Memorandum, Issue 35.

6.11 Developer Fee

Pay the Developer Fee only in accordance with Section 7.5(f). The Developer Fee shall be (a) payable to Borrower and not to any member or Affiliate, (b) deemed fully earned only upon Substantial Completion, and (c) paid from Loan proceeds only to the extent (i) the portion of the Developer Fee allocated to the Loan in the Approved Project Budget ($1,835,000) is advanced, (ii) no Cost Overrun exists and no Event of Default has occurred and is continuing, (iii) no Equity Escrow Deposit or overrun deposit remains unfunded, and (iv) the Construction Inspector has certified that the remaining undisbursed Loan proceeds and Borrower's committed equity are sufficient to complete the Project. The $1,000,000 portion of the Developer Fee allocated to the Mezzanine Loan in the Approved Project Budget may not be paid from Loan proceeds.

6.12 Leasing

Lease the Project only pursuant to written leases on Lender-approved forms that (a) are subordinate to the Deed of Trust and the Assignment of Rents, (b) do not contain any option to purchase, right of first refusal, or right to terminate other than customary early-termination rights for casualty or condemnation, (c) do not collect rent more than one month in advance, and (d) with respect to any premises within or above the Environmental Restricted Area, are limited to non-residential use unless the restriction has been modified in accordance with Section 10.4. Borrower shall not lease any residential unit in the Project unless a certificate of occupancy has been issued for that unit.

6.13 Mezzanine Loan Compliance

Comply with each Mezzanine Document and the Intercreditor Agreement; deliver to Lender copies of each notice delivered or received under the Mezzanine Documents concurrently with delivery; and not permit the Mezzanine Lender to acquire any interest in the Property other than through the exercise of remedies permitted by the Intercreditor Agreement.

6.14 Further Assurances

Execute, acknowledge and deliver such further instruments and take such further action as Lender may reasonably request to carry out the purposes of the Loan

Documents, to perfect and maintain the Liens granted to Lender, and to evidence compliance with the covenants herein.

6.15 Interest Reserve Replenishment

Fund each deposit required by Section 4.5(e) within the time period specified therein, from its own funds and not from Loan proceeds or Mezzanine Loan proceeds.

6.16 Maintenance of Third-Party Reports

If the Closing Date occurs after April 26, 2025 (the expiration of the 180-day shelf life of the Phase I ESA under 40 C.F.R. § 312.20(c)), deliver an updated Phase I ESA and updated reliance letter prior to closing, or at such later date as Lender may approve. Maintain and update the Survey and the Title Policy as Lender may reasonably require.

ARTICLE VII — NEGATIVE COVENANTS

Borrower covenants and agrees that, from the Closing Date and until the Indebtedness is paid in full and the Loan Documents are terminated, Borrower shall not, directly or indirectly, without Lender’s prior written consent:

7.1 Indebtedness

Create, incur, assume, guarantee or permit to exist any Indebtedness or other obligation for borrowed money, other than (a) the Loan, (b) the Mezzanine Loan in the original principal amount of $9,200,000 on the terms described in Section 5.12, (c) trade payables incurred in the ordinary course of business and not more than [sixty (60)] days past due, and (d) equipment leases entered into in the ordinary course of business not exceeding $[250,000] in the aggregate. Borrower shall not incur any preferred equity, mezzanine, gap or subordinate financing other than the Mezzanine Loan.

7.2 Liens

Create, incur, assume or permit to exist any Lien on the Property or any other Collateral, or on any membership interest in Borrower, other than (a) the Permitted Exceptions, (b) the Liens granted to Lender, and (c) the second-priority pledge of membership interests in favor of the Mezzanine Lender permitted by the Intercreditor Agreement.

7.3 Transfers

Sell, transfer, convey, assign, lease (other than Leases permitted by Section 6.12), option, mortgage, pledge or otherwise dispose of the Property or any portion thereof or any interest therein, whether directly or indirectly, whether voluntarily or involuntarily, or enter into any agreement to do any of the foregoing.

7.4 Changes in Ownership; Organizational Documents

(a) Cause, permit or suffer any change in the direct or indirect ownership of the membership interests in Borrower, or any issuance of any additional membership interest, profits interest, option or right to acquire an interest in Borrower, or any transfer, pledge, hypothecation or encumbrance of any membership interest (other than the Membership Interest Pledge and the pledge to the Mezzanine Lender permitted by the Intercreditor Agreement).

(b) Amend, modify, restate or waive any provision of Borrower's Articles of Organization or Operating Agreement in any manner that (i) affects the SPE covenants or the Independent Manager provisions required by Section 3.1(e), (ii) affects the distribution waterfall or the capital call provisions, (iii) increases the approval threshold applicable to any action of Borrower, or (iv) could reasonably be expected to impair Lender's rights or the value of the Collateral.

7.5 Distributions

Make any Distribution, except that, provided no Event of Default has occurred and is continuing and no Cost Overrun, Interest Reserve deficiency or unfunded equity obligation exists, Borrower may:

(a) pay the Developer Fee solely to the extent and in the manner permitted by Section 6.11;

(b) pay its actual, reasonable operating expenses incurred in the ordinary course of business;

(c) make distributions of Available Cash to its members during the Mini-Perm Period, if and only if (i) Substantial Completion has occurred and a final certificate of occupancy has been issued for all residential units and retail space, (ii) occupancy of at least [85]% of the residential units has been achieved, (iii) the DSCR is not less than 1.25x and the Debt Yield is not less than [8.50]%, in each case calculated on the most recent trailing twelve-month period, (iv) no Interest Reserve deficiency exists and all required deposits have been made, and (v) Borrower has delivered a compliance certificate demonstrating the foregoing; and

(d) nothing in this Section 7.5 shall permit, at any time, (i) any repayment of, or payment of interest on, any member loan or member advance, including any advance used to acquire the Property or to fund the environmental remediation of the Property, except from Borrower's own funds in compliance with this Section and after satisfaction of the conditions in clause (c) above, or (ii) any Distribution funded, directly or indirectly, from Loan proceeds or Mezzanine Loan proceeds.

Drafting Note: Section 14 of the Term Sheet prohibits Distributions during the Construction Period "except for payment of the developer fee in accordance with the approved Project Budget," but the Approved Project Budget identifies Borrower itself as the payee of the Developer Fee, so the carve-out does not in terms authorize any payment to a member. The carve-out also permits $1,835,000 of Loan proceeds to be applied to a fee payable to the Managing Member-

controlled Borrower before any equity is at risk. Lender's underwriting assumes that no Distributions occur during the Construction Period. See Cover Memorandum, Issue 7.

7.6 Affiliate Transactions

Enter into, amend or perform any transaction, contract or arrangement with any Related Entity except on arm's-length terms and for fair and reasonable consideration, and then only with Lender's prior written consent, other than the Developer Fee (as limited by Section 6.11) and the Mezzanine Loan (as governed by the Intercreditor Agreement). Borrower shall deliver to Lender written notice of each Affiliate transaction and a description of the arm's-length basis therefor.

7.7 Construction Documents

(a) Amend, modify, terminate, cancel or waive any material right under the Construction Contract or the Architect Agreement without Lender's prior written consent; (b) replace the General Contractor or the Project Architect without Lender's prior written consent; or (c) relieve the General Contractor or the Project Architect of any obligation, or accept any substitute performance, without Lender's prior written consent.

7.8 Mezzanine Documents

Amend, modify, supplement, waive or terminate any Mezzanine Document; increase the principal amount of, or the rate of interest on, the Mezzanine Loan; shorten or extend the maturity of the Mezzanine Loan (other than in a manner coterminous with the Loan and approved by Lender in writing); grant any additional collateral for the Mezzanine Loan; or prepay, defease or refinance the Mezzanine Loan, in each case without Lender's prior written consent.

7.9 Change of Business; Fiscal Year

Engage in any business other than the ownership, development, construction, leasing, management and operation of the Project; acquire any asset other than the Project assets; or change its fiscal year.

7.10 Subsidiaries; Joint Ventures

Form or acquire any subsidiary, or enter into any partnership, joint venture or co-tenancy with respect to the Property, without Lender's prior written consent.

7.11 Environmental Uses

Use, or permit the use of, the Environmental Restricted Area for any residential or other sensitive use; conduct any excavation, grading or subsurface disturbance within the Environmental Restricted Area other than in accordance with the approved Soil Management Plan; or take any action that would cause the NFA Letter to be reopened, revoked or modified adversely.

7.12 Interest Rate Protection

Enter into any interest rate swap, cap, collar or other derivative transaction other than an Interest Rate Cap Agreement collaterally assigned to Lender as permitted by Section 2.14.

ARTICLE VIII — FINANCIAL COVENANTS

8.1 Loan-to-Cost Ratio

The Loan-to-Cost Ratio shall not exceed eighty percent (80%) at any time. **"Loan-to-Cost Ratio"** or **"LTC"** means the ratio of (a) the outstanding principal balance of the Loan to (b) Total Project Costs. **"Total Project Costs"** means the aggregate of all costs and expenses incurred or to be incurred in connection with the acquisition, development, construction and completion of the Project, as set forth in the Approved Project Budget as in effect from time to time, including the cost of the Property, Hard Costs, Soft Costs, the Interest Reserve, the Origination Fee, the Developer Fee and contingency, and excluding, solely for purposes of this ratio, the Mezzanine Loan.

Testing: As of the Closing Date, the Loan-to-Cost Ratio is $47,500,000 ÷ $56,700,000 = 83.77%, which exceeds the eighty percent (80%) maximum. At an eighty percent (80%) Loan-to-Cost Ratio, the maximum Loan Amount would be $45,360,000, a reduction of $2,140,000. **Drafting Note:** The Condition Precedent in Section 3.1(g) requires a $2,140,000 Equity Escrow Deposit but does not reduce the Loan Amount. Because the Approved Project Budget allocates one hundred percent (100%) of Total Project Costs to the Loan and the Mezzanine Loan, an Equity Escrow Deposit that does not displace Loan proceeds has no effect on the Loan-to-Cost Ratio as defined above; it creates a corresponding surplus of sources over uses. Lender's credit approval contemplates that the escrowed equity will be applied to Project Costs ahead of Loan Advances; that result is achievable only if the Loan Amount is simultaneously reduced to $45,360,000 or Total Project Costs are restated upward. Borrower's and Lender's positions on the Loan Amount are reserved pending resolution. See Cover Memorandum, Issues 1 through 4.

8.2 Loan-to-Value Ratio

(a) The Loan-to-Value Ratio determined on an as-completed basis shall not exceed sixty-five percent (65%). **"Loan-to-Value Ratio"** or **"LTV"** means the ratio of the outstanding principal balance of the Loan to the appraised value of the Property on the applicable basis, as determined by an MAI appraisal conforming to the requirements of FIRREA and Lender's appraisal policy.

(b) As of the Closing Date, (i) the as-completed Loan-to-Value Ratio is $47,500,000 ÷ $72,800,000 = 65.25%, which exceeds the sixty-five percent (65%) maximum by $180,000 in principal amount ($72,800,000 × 65% = $47,320,000); and (ii) the as-stabilized Loan-to-Value Ratio is $47,500,000 ÷ $76,200,000 = 62.34%.

(c) Lender may obtain a new or updated appraisal at any time at Borrower's expense, and Borrower shall reimburse Lender for the cost thereof within ten (10) days after demand.

Drafting Note: The Term Sheet limits the as-completed Loan-to-Value Ratio to 65% (Sections 4 and 6.2). The Credit Memorandum applies a 70% policy limit and reports the as-completed ratio as a "Pass" at 65.25%. The executed Term Sheet governs as between the parties, so the Loan as sized exceeds the as-completed limit. The same $2,140,000 reduction that cures the Loan-to-Cost exceedance would also reduce the as-completed Loan-to-Value Ratio to 62.31% and the as-stabilized ratio to 59.53%. See Cover Memorandum, Issue 2.

8.3 Debt Service Coverage Ratio

(a) The DSCR shall not be less than 1.25x, tested (i) at the commencement of the Mini-Perm Period and (ii) annually thereafter, in each case based on the Net Operating Income for the most recent twelve (12) month period.

(b) **Cure.** If the DSCR is less than 1.25x at any test date, Borrower shall, at Lender's election exercised in writing within thirty (30) days after delivery of the applicable compliance certificate, either (i) make a principal curtailment sufficient to restore the DSCR to 1.25x, or (ii) deposit cash collateral in an amount determined by Lender sufficient to restore the DSCR to 1.25x. Any principal curtailment shall be accompanied by payment of the Exit Fee allocable to the amount curtailed.

(c) **Drafting Note.** The first test date precedes stabilization. Substantial Completion is projected for August 31, 2027, and stabilization (95% occupancy) is projected for approximately May 2028; the Mini-Perm Period commences August 29, 2027. A test based on trailing twelve-month actual Net Operating Income at the commencement of the Mini-Perm Period would necessarily reflect a partially leased project and would be very likely to fail. Lender's practice is to test on a stabilized basis with a lease-up adjustment. Borrower and Lender must agree on the test basis. See Cover Memorandum, Issue 30.

8.4 Debt Yield

The Debt Yield shall not be less than [eight and fifty hundredths percent (8.50%)], tested at the commencement of the Mini-Perm Period and annually thereafter. This covenant does not appear in the Term Sheet and is proposed by Lender to address the absence of any coverage test that measures the Loan against the Project's income capacity independently of the interest rate. See Cover Memorandum, Issue 30.

8.5 Borrower Net Worth

Borrower shall maintain a minimum net worth of not less than $12,000,000, tested annually within one hundred twenty (120) days after the end of each fiscal year, and certified in a compliance certificate. For purposes of this covenant, net worth shall be determined in accordance with GAAP.

Drafting Note: Borrower's asserted net worth of $14,200,000 cannot be reconciled to the balance sheet implicit in the record. Borrower's only identified asset is the Property, acquired for $8,200,000 and encumbered by the Prior Deed of Trust in the original principal amount of $3,400,000. That balance sheet would produce a net worth of approximately $4,800,000. Following closing, Borrower's assets and liabilities increase roughly dollar-for-dollar with Loan and Mezzanine Loan advances, so the covenant would not be cured by construction. The covenant as drafted would therefore be breached on the Closing Date unless the capital structure is restated or the covenant is redefined to permit add-backs for the Property at appraised value and for contributions. See Cover Memorandum, Issue 31.

8.6 Guarantor Liquidity

The Guarantors shall maintain combined liquidity of not less than $5,000,000, tested quarterly within forty-five (45) days after the end of each calendar quarter and evidenced by current personal financial statements and supporting account statements. **"Liquidity"** means cash, Cash Equivalents and marketable securities readily convertible to cash within thirty (30) days, excluding any interest in Borrower, any Related Entity or the Project, and excluding any asset pledged to another lender.

As of the Closing Date, the Guarantors' combined liquidity is approximately $9,300,000 ($6,100,000 attributable to Elena Vasquez-Torres and $3,200,000 attributable to Reginald K. Osei), which satisfies the covenant with a cushion of approximately $4,300,000.

8.7 Guarantor Net Worth

Each Guarantor shall maintain a personal net worth of not less than [seventy-five percent (75%) of the net worth reflected in such Guarantor's most recent personal financial statement delivered to Lender], tested annually. As of the Closing Date, that threshold would be approximately $[22,350,000] for Elena Vasquez-Torres and $[8,625,000] for Reginald K. Osei. **Drafting Note:** The Term Sheet contains no Guarantor net worth covenant, although Section 15 of the Term Sheet lists as an Event of Default the failure of "any Guarantor's net worth" to satisfy "the minimum threshold set forth in Section 6.4" — a cross-reference to the Borrower's net worth covenant. Lender must either fix a Guarantor net worth threshold as proposed here or delete the corresponding Event of Default in Section 14.1. See Cover Memorandum, Issue 32.

8.8 Testing Mechanics; Calculations; Adjustments

(a) Each financial covenant shall be tested as of the last day of the applicable period and evidenced by a compliance certificate in the form of Exhibit I delivered within the time period specified in Exhibit F.

(b) Net Operating Income shall be determined on an actual basis for the trailing twelve (12) month period, and shall be annualized only if the Project has been in operation for fewer than twelve (12) months, in which case Net Operating Income

shall be annualized by dividing the Net Operating Income for the period of operation by the number of months of operation and multiplying by twelve. Annualization shall not be permitted after the Project has been in operation for twelve (12) months.

(c) Excluded from Net Operating Income: (i) rent from any tenant that is more than sixty (60) days in arrears, (ii) rent from any tenant that is a Related Entity, (iii) any revenue from a unit or space that is not lawfully occupied (including any residential unit within or above the Environmental Restricted Area as to which a certificate of occupancy has not been issued), (iv) security deposits and non-recurring income, and (v) the amount of any CC&R assessment payable to the Brightleaf Historic District Association in excess of the amount reflected in Borrower's operating budget.

(d) In determining compliance, Lender may make adjustments for non-recurring items, above-market or below-market leases, and items that Lender reasonably determines do not reflect normalized operations.

Drafting Note: The Appraised Value and the Appraiser's projected Stabilized Net Operating Income of $4,876,800 do not include the annual assessment payable to the Brightleaf Historic District Association under the Declaration in Book 6984, Page 1155, which is $0.12 per square foot of gross building area, or approximately $34,500 per annum for 287,500 square feet. Adjusting Net Operating Income for that assessment reduces it to approximately $4,842,300, reduces the DSCR to approximately 1.30x and reduces the indicated as-stabilized value at the appraiser's 6.40% capitalization rate to approximately $75,660,900 (and the Loan-to-Value Ratio to approximately 62.78%). See Cover Memorandum, Issue 29.

8.9 Covenant Compliance Certificate

With each compliance certificate, Borrower shall deliver a schedule showing the computation of each financial covenant in reasonable detail, and the calculation of Total Project Costs, outstanding Advances, Retainage held, the Interest Reserve Balance and the then-current DSCR and Debt Yield.

ARTICLE IX — SINGLE-PURPOSE ENTITY AND SEPARATENESS COVENANTS

9.1 Single-Purpose Entity Status

Borrower shall at all times maintain its status as a single-purpose entity and shall not engage in any business other than the acquisition, development, construction, ownership, leasing, management and operation of the Project.

9.2 Separateness Covenants

Borrower shall, and shall cause the Related Entities to, observe each of the following:

(a) maintain its own books, records, financial statements, bank accounts and taxpayer identification number separate from those of any other Person;

(b) not commingle its funds or other assets with those of any member, Affiliate or other Person, and not maintain any joint or common account;

(c) hold itself out as a separate and distinct entity, conduct its business in its own name, and not hold itself out as being liable for the debts of any other Person or as having any obligation to satisfy the obligations of any other Person;

(d) observe all limited liability company formalities, including holding member and manager meetings as required by its Operating Agreement, maintaining minutes and records, and making all required filings with the North Carolina Secretary of State;

(e) pay its own liabilities and expenses from its own funds and allocate fairly and reasonably any overhead expenses shared with any Other Person (including shared office space, equipment and services), and maintain an arm’s-length relationship with each Affiliate;

(f) not guarantee or otherwise become liable for the obligations of any member, Affiliate or other Person, and not pledge its assets for the benefit of any other Person;

(g) not make any loan or advance to any member, Affiliate or other Person, and not acquire any obligation of any member or Affiliate;

(h) not identify any member or Affiliate as a division or part of Borrower, and not use the stationery or business forms of any member or Affiliate;

(i) not enter into any transaction with any Affiliate except in compliance with Section 7.6;

(j) maintain adequate capital for the normal obligations reasonably foreseeable in a business of its size and character, and remain solvent;

(k) not engage in any transaction with any member or Affiliate that is not on arm’s-length terms, and not take any action that would cause the separate identity of Borrower to be disregarded;

(l) not acquire obligations or securities of, or make any loans to, any member or Affiliate;

(m) conduct all dealings with third parties in its own name, and maintain a separate telephone number, address and (if applicable) website;

(n) not file any voluntary petition in bankruptcy, consent to the appointment of a receiver or trustee, make a general assignment for the benefit of creditors, or admit in writing its inability to pay its debts generally as they become due, without the prior unanimous written consent of all members and the affirmative vote of the Independent Manager; and

(o) cause the Related Entities not to (i) hold themselves out as having any liability for the debts of Borrower, (ii) commingle their funds with those of Borrower, (iii) file any involuntary petition in bankruptcy against Borrower, or (iv) take any action inconsistent with Borrower's separate existence.

9.3 Independent Manager

Borrower shall maintain at all times at least one (1) natural person as an Independent Manager who (a) is not, and has not been within five (5) years, an officer, director, manager, employee, member, creditor, supplier, customer, attorney, accountant or Affiliate of Borrower, any member of Borrower, the Mezzanine Lender, Thomas R. Chen or any Related Entity, (b) has no economic interest in Borrower or any Related Entity, and (c) is not a party to any agreement with Borrower or any Related Entity that would compromise such person's independence. The Independent Manager's affirmative vote shall be required for any voluntary bankruptcy or insolvency filing, any general assignment for the benefit of creditors, any admission of insolvency, and any amendment of the provisions of the Operating Agreement described in this Section. The Independent Manager may not be removed without Lender's prior written consent, and Borrower shall promptly notify Lender of any resignation or vacancy and shall fill any vacancy within ten (10) Business Days.

9.4 Non-Consolidation Opinion

Borrower shall deliver the non-consolidation opinion required by Section 3.1(f) at closing, and shall deliver an updated or bring-down opinion upon (a) any bankruptcy or insolvency filing by or against any Related Entity, (b) any change in Borrower's organizational structure, membership or governing documents, and (c) Lender's reasonable request following any material change in circumstances relevant to the assumptions underlying the opinion. Borrower shall cooperate with Lender's counsel and with Borrower's counsel in the preparation of each such opinion, and shall pay the reasonable cost thereof.

ARTICLE X — ENVIRONMENTAL MATTERS

10.1 Acknowledgement of Environmental Condition

Borrower acknowledges that (a) the Phase I ESA identified one Recognized Environmental Condition at the Property, consisting of residual petroleum contamination from a former 2,000-gallon diesel underground storage tank located in the northeast corner of Parcel 0821-04-72-4102; (b) remediation consisting of excavation and off-site disposal of impacted soil was completed in September 2024; (c) residual contamination remains in place in the Environmental Restricted Area at concentrations exceeding NCDEQ residential Preliminary Soil Remediation Goals for TPH-DRO and benzene in soil, and benzene in soil gas exceeds NCDEQ residential vapor intrusion screening levels; and (d) the NFA Letter is conditional, and the Property is not a "clean closure" site.

10.2 Compliance with the NFA Letter

Borrower shall comply with each condition of the NFA Letter, including:

(a) **Vapor Mitigation System.** Design, install, commission, operate and maintain a passive sub-slab depressurization system with conversion capability to active depressurization (the **"Vapor Mitigation System"**) beneath each enclosed structure constructed within or over the Environmental Restricted Area, in accordance with the NFA Letter, the guidelines of the NCDEQ Division of Waste Management and the design of a professional engineer licensed in North Carolina. Borrower shall deliver to Lender and to NCDEQ as-built drawings and a system performance verification report within ninety (90) days after completion of the building foundation in the affected area, and shall deliver a copy of the system's operating and maintenance manual to Lender.

(b) **Land Use Restriction.** Restrict the Environmental Restricted Area to non-residential use, and not construct, occupy, lease or permit the occupancy of any residential unit or other sensitive use within or above the Environmental Restricted Area unless and until the NFA Letter is modified in accordance with Section 10.4.

(c) **Soil Management Plan.** Submit a soil management plan to NCDEQ for approval, and comply with it, prior to any excavation, grading or other subsurface disturbance within the Environmental Restricted Area. Borrower shall cause the Soil Management Plan to be incorporated into the Construction Documents and delivered to the General Contractor and each subcontractor performing work in the affected area.

(d) **Deed Notice.** Record, and maintain of record, a deed notice in the Durham County Registry of Deeds in the form required by the NFA Letter, describing the Environmental Restricted Area by metes and bounds (or by reference to a recorded plat), the nature and extent of residual contamination, and the non-residential use restriction. Borrower shall deliver to Lender a recorded copy, together with evidence of the recording date, promptly following recording.

(e) **Reporting.** Deliver to Lender, within ten (10) Business Days after delivery or receipt, copies of all correspondence, submissions, approvals, notices and reports exchanged with NCDEQ relating to the Property, and annual certifications of continued compliance with each condition of the NFA Letter.

10.3 No Reopening; No Adverse Modification

Borrower shall not take, and shall not permit any tenant or contractor to take, any action that would cause NCDEQ to reopen the regulatory file for Site ID IHSB-24-1203, revoke or modify the NFA Letter adversely, or require additional investigation or remediation, including any change in land use, any unpermitted subsurface disturbance, or any failure to maintain the Vapor Mitigation System.

10.4 Modification of the NFA Letter

Borrower may seek a modification of the NFA Letter to permit residential use of the Environmental Restricted Area only with Lender's prior written consent (which may be conditioned on Lender's review and approval of the proposed scope of work, the additional investigation and risk assessment, the engineering controls and the cost thereof). Borrower shall bear all costs of any such modification and shall deposit the amount of any additional cost with Lender before it is incurred. No modification shall be deemed effective for purposes of Section 10.2(b) until NCDEQ has issued a written modification and Borrower has delivered a copy to Lender.

10.5 Environmental Indemnity; Pollution Legal Liability Insurance

Borrower and the Guarantors shall indemnify Lender as provided in the Environmental Indemnity, which shall be unlimited in amount and shall survive repayment of the Loan, reconveyance of the Deed of Trust, foreclosure, deed in lieu of foreclosure and any bankruptcy proceeding. Lender recommends, and may require as a condition to the Extension Option, that Borrower obtain a pollution legal liability insurance policy in an amount and on terms reasonably acceptable to Lender, naming Lender as an additional insured, covering third-party claims, the cost of any NFA modification, additional remediation and unknown conditions discovered during construction.

10.6 Condition to Advances in the Environmental Restricted Area

Notwithstanding anything to the contrary, Lender shall not be obligated to make any Advance for Hard Costs attributable to construction within or above the Environmental Restricted Area unless and until (a) the conditions in Section 3.1(k) have been satisfied, or (b) the NFA Letter has been modified in accordance with Section 10.4 to permit the planned use, and (c) NCDEQ has approved the Soil Management Plan and the Vapor Mitigation System design, and (d) the Construction Inspector has confirmed that the work will be performed in accordance with the approved Soil Management Plan.

10.7 Environmental Releases; Notice

Borrower shall promptly notify Lender of (a) any release, threatened release or discovery of any hazardous substance at, on, under or migrating from the Property, (b) any notice, order, directive, information request, claim or citation from any governmental authority or third party relating to environmental conditions at the Property, and (c) any change in the regulatory status of Site ID IHSB-24-1203. Borrower shall, at its sole cost, promptly undertake and diligently complete all investigation, remediation, removal and response actions required by applicable Environmental Laws or by NCDEQ, and shall deliver to Lender all reports and confirmations relating thereto.

10.8 Environmental Consultant Access

Lender and its environmental consultant shall have the right, upon reasonable prior notice and at Borrower's expense (not more than once per year absent an Event of Default or a release), to conduct such investigations, including Phase I and Phase II assessments and soil gas and indoor air sampling, as Lender may reasonably require. Borrower shall cooperate fully and shall cause its contractors and tenants to cooperate. The results of any such investigation shall be delivered to Borrower and, at Lender's election, to NCDEQ.

10.9 No Residential Occupancy Without Certification

Borrower shall not permit the occupancy of any residential unit located in the building constructed over any portion of the Environmental Restricted Area unless and until (a) the Vapor Mitigation System has been commissioned and its performance verified in accordance with the NFA Letter, (b) NCDEQ has confirmed in writing that residential occupancy is permitted, and (c) Lender has received a certification from Lender's environmental consultant confirming that indoor air concentrations are below applicable NCDEQ screening levels.

ARTICLE XI — INSURANCE

11.1 Required Coverages

Borrower shall procure and maintain, at its sole cost and expense, the following insurance with insurers having an A.M. Best rating of not less than A- VIII (or such other rating as Lender may approve):

(a) **Builder's Risk.** All-risk, replacement-cost builder's risk insurance, including coverage for materials in transit and stored off-site, soft costs, and, to the extent available, ordinance or law and delay in completion, in an amount not less than the full insurable replacement value of the Project (which shall be not less than the $34,750,000 GMP plus all Soft Costs and the Developer Fee, and in no event less than the outstanding principal balance of the Loan), naming Lender as mortgagee and loss payee. **Drafting Note:** The Term Sheet fixes the builder's risk minimum at $34,750,000, which equals the GMP and is $12,750,000 less than the Loan Amount. Property insurance that insures the improvements at less than the Loan balance leaves Lender underinsured. See Cover Memorandum, Issue 22.

(b) **Commercial General Liability.** Not less than $5,000,000 per occurrence and $10,000,000 in the aggregate, including premises liability, products and completed operations, contractual liability, personal and advertising injury, and an additional insured endorsement in favor of Lender on a primary and non-contributory basis.

(c) **Umbrella or Excess Liability.** Not less than $10,000,000 per occurrence and in the aggregate, in excess of the coverages in clauses (a) and (b) and employer's liability.

(d) **Workers’ Compensation and Employer’s Liability.** Statutory limits as required by N.C.G.S. Chapter 97, and employer’s liability of not less than $1,000,000, with a waiver of subrogation in favor of Lender.

(e) **Flood Insurance.** If any portion of the Property is located in a Special Flood Hazard Area, flood insurance in an amount not less than the lesser of the outstanding principal balance of the Loan and the maximum amount available under the National Flood Insurance Program, plus excess flood coverage if the Loan balance exceeds that amount.

(f) **Professional Liability.** Evidence that the Project Architect and each design professional maintains professional liability (errors and omissions) insurance of not less than $2,000,000 per claim, with a certificate naming Lender as an additional insured or loss payee to the extent of its interest.

(g) **Automobile Liability.** Not less than $1,000,000 combined single limit for owned, hired and non-owned vehicles used in connection with the Project.

(h) **Other Insurance.** Such other insurance as Lender may reasonably require, including boiler and machinery, and, upon the occurrence of an Event of Default, lender-placed insurance procured by Lender at Borrower’s expense.

11.2 Policy Requirements

Each policy shall (a) name Lender as mortgagee, loss payee and additional insured as its interests may appear, (b) provide that it may not be cancelled, materially reduced or allowed to lapse without at least thirty (30) days’ prior written notice to Lender (ten (10) days for non-payment of premium), (c) be written on an occurrence basis (except professional liability, which may be written on a claims-made basis with a retroactive date no later than the commencement of design services and an extended reporting period of not less than three (3) years), (d) provide that Lender’s interest shall not be invalidated by any act or neglect of Borrower or any tenant, and (e) be issued by an insurer authorized to transact business in North Carolina.

11.3 Evidence; Failure to Maintain

Borrower shall deliver certificates of insurance with respect to each policy prior to the Closing Date and not less than ten (10) days prior to each renewal, together with an ACORD 28 or equivalent evidence of property coverage. If Borrower fails to maintain any required insurance, Lender may (but shall not be obligated to) procure such insurance at Borrower’s expense, and any amount so expended shall be an additional Advance secured by the Loan Documents bearing interest at the Default Rate.

11.4 Application of Proceeds

Any insurance proceeds or condemnation award in excess of $[250,000] shall be paid to Lender and, at Lender’s election, applied to the Indebtedness or released to Borrower for restoration of the Project in accordance with a restoration plan

approved by Lender and subject to Lender's standard restoration conditions, including the requirement that the remaining undisbursed Loan proceeds and any additional funds are sufficient to complete the restoration. Any proceeds or award of $[250,000] or less may be retained by Borrower and applied to restoration, provided no Event of Default exists.

ARTICLE XII — COLLATERAL; SECURITY DOCUMENTS; MEMBERSHIP INTEREST PLEDGE

12.1 Security Documents

The Indebtedness shall be secured by the following, each of which shall be executed and delivered on or before the Closing Date and shall be in form and substance satisfactory to Lender: (a) the Deed of Trust, creating a first-priority Lien on the fee simple interest in the Property, together with all improvements, fixtures and appurtenances; (b) the Assignment of Rents; (c) the Security Agreement, granting a first-priority security interest in all personal property, fixtures, equipment, furniture, plans, specifications, permits, contracts, licenses, approvals, accounts, deposit accounts and general intangibles relating to the Project, perfected by UCC-1 financing statements filed with the North Carolina Secretary of State and, as to fixtures, in the Durham County Registry; (d) the Construction Contract Assignment; (e) the Architect Assignment; (f) the collateral assignment of all insurance proceeds and condemnation awards; and (g) the Pledge Agreements.

12.2 Membership Interest Pledge

As additional security for the Indebtedness, Elena Vasquez-Torres (62%), Brightleaf Investors Group LLC (28%) and Reginald K. Osei (10%) shall each pledge one hundred percent (100%) of their respective membership interests in Borrower to Lender pursuant to the Pledge Agreements. Each Pledge Agreement shall (a) be governed by Article 9 of the UCC as in effect in North Carolina, (b) be perfected by the filing of a UCC-1 financing statement naming the pledgor as debtor and Lender as secured party, (c) constitute a first-priority security interest, subject only to the subordinated pledge in favor of the Mezzanine Lender permitted by the Intercreditor Agreement, and (d) include the consent of Borrower, the consent and acknowledgment of the Managing Member, and, if Lender so requires, a control agreement or irrevocable proxy with respect to the pledged interests.

12.3 Release of Collateral

Upon payment in full of the Indebtedness and the performance of all other obligations of Borrower and the Guarantors under the Loan Documents (other than contingent indemnity obligations that survive by their terms), Lender shall deliver to Borrower such releases of the Liens granted hereunder as Borrower may reasonably request, at Borrower's expense. No release shall be effective with respect to any liability of any Guarantor except as expressly provided in the applicable Guaranty.

12.4 Intentionally Omitted

ARTICLE XIII — GUARANTIES

13.1 Completion Guaranty

Each Guarantor shall, jointly and severally, guarantee to Lender the lien-free completion of the Project in accordance with the Approved Plans and Specifications, the Approved Project Budget and the Construction Schedule, on or before the date that is thirty (30) days after the Construction Maturity Date, and shall fund all Cost Overruns and all costs necessary to cause Substantial Completion and the issuance of final certificates of occupancy. The Completion Guaranty shall remain in effect until Lender has received (a) a final certificate of occupancy for all residential units and retail space, (b) final, unconditional lien waivers from the General Contractor and each subcontractor and materialman, and (c) evidence that all Liens (other than Permitted Exceptions) have been released or bonded off.

Drafting Note: Section 7.1 of the Term Sheet fixes the guaranteed completion date at the Construction Maturity Date (August 28, 2027), three (3) days before the projected substantial completion date of August 31, 2027. This Section proposes a thirty (30) day grace; Lender's instructions are requested. See Cover Memorandum, Issue 40.

13.2 Carry Guaranty

Each Guarantor shall, jointly and severally, guarantee to Lender the payment of all interest, fees and other carrying costs on the Loan accruing during the Construction Period to the extent the Interest Reserve Balance is insufficient to pay them, and the payment of all interest and other carrying costs accruing during the Mini-Perm Period and any extension thereof, together with all real estate taxes, insurance premiums and other carrying costs of the Property. The Carry Guaranty is in addition to, and not in lieu of, the Interest Reserve.

Drafting Note: Section 7.2 of the Term Sheet limits the Carry Guaranty to interest "during the term of the Loan," while Section 4.3 of the Credit Memorandum limits it to "carrying costs during the construction period." This Section adopts the broader Term Sheet formulation and extends it expressly to the Mini-Perm Period. See Cover Memorandum, Issue 28.

13.3 Partial Repayment Guaranty

Each Guarantor shall, jointly and severally, guarantee to Lender the payment of a portion of the Indebtedness equal to twenty-five percent (25%) of the Loan Amount, or $11,875,000 (the **"Guaranteed Amount"**). The Guaranteed Amount is a single obligation of the Guarantors in the aggregate, and each Guarantor is jointly and severally liable for the entire Guaranteed Amount; the Guaranteed Amount shall not be multiplied by the number of Guarantors. The Partial Repayment Guaranty shall be full recourse as to the Guaranteed Amount and shall

become full recourse as to the entire Indebtedness upon the occurrence of any of the following (each, a **"Recourse Trigger"**): (a) fraud, intentional misrepresentation or willful misconduct by Borrower, any Guarantor or any Related Entity in connection with the Loan; (b) any voluntary bankruptcy, insolvency, reorganization or receivership filing by Borrower or any Guarantor, or any collusive involuntary filing; (c) any prohibited transfer, pledge or encumbrance of the Property or of any membership interest in Borrower; (d) any violation of Article IX or of any condition of the NFA Letter; (e) any environmental liability arising from the acts or omissions of Borrower or any Guarantor; (f) waste, misapplication of Loan proceeds, or misappropriation of rents; and (g) any failure to maintain the Insurance required by Article XI.

Drafting Note: Section 7.3 of the Term Sheet describes a joint and several guaranty "in the amount of 25% of the Loan Amount," while Section 4.3 of the Credit Memorandum describes $11,875,000 "per guarantor" (which would produce $23,750,000 of aggregate exposure, or 50% of the Loan). This draft adopts the Term Sheet's 25% aggregate reading. Borrower may be expected to argue for the per-guarantor reading; the point must be resolved expressly. See Cover Memorandum, Issue 33.

13.4 Guaranty Terms

Each Guaranty shall (a) be a continuing, absolute and unconditional guaranty of payment and not of collection, (b) waive all defenses of suretyship, including the defenses of marshalling, election of remedies, and the release or modification of any other obligor or collateral, to the fullest extent permitted by applicable law, (c) not be released, diminished or impaired by any foreclosure, deed in lieu of foreclosure, or deficiency following foreclosure, (d) not be released by any modification or extension of the Loan Documents, (e) be governed by North Carolina law, and (f) survive the repayment of the Loan to the extent of any indemnity or reimbursement obligation that by its terms survives.

Drafting Note: North Carolina is a judicial foreclosure state and, following a power-of-sale foreclosure, a deficiency is recoverable only as permitted by N.C.G.S. § 45-21.36, which requires the court to credit the fair market value of the property against the debt if the property was sold for less than its fair market value. Lender's counsel should confirm, before the Guaranties are finalized, that the Guaranties are structured to avoid any argument that they circumvent § 45-21.36, including by (i) structuring the Partial Repayment Guaranty as a separate, independent payment obligation limited to the Guaranteed Amount and (ii) preserving the Completion Guaranty's independent obligation to fund completion costs, which is not a deficiency obligation. See Cover Memorandum, Issue 34.

13.5 Environmental Indemnity

Borrower and each Guarantor shall execute and deliver the Environmental Indemnity, which shall be unlimited in amount and shall survive repayment, reconveyance, foreclosure, deed in lieu, and any bankruptcy or insolvency

proceeding. The Environmental Indemnity is independent of, and in addition to, the Guaranties.

13.6 Guarantor Financial Condition

Lender's approval of the Loan is based in part on the personal financial statements of the Guarantors, including combined net worth of approximately $41,300,000 (Elena Vasquez-Torres: approximately $29,800,000; Reginald K. Osei: approximately $11,500,000) and combined liquidity of approximately $9,300,000 ($6,100,000 and $3,200,000 respectively). Each Guarantor represents that its personal financial statement is true, correct and complete and that its assets are not subject to any lien, pledge or claim not disclosed therein.

ARTICLE XIV — EVENTS OF DEFAULT

14.1 Events of Default

Each of the following shall constitute an **"Event of Default"** under this Agreement and the other Loan Documents:

(a) **Payment.** Borrower fails to pay any principal, interest, Fee or other amount due under any Loan Document when due, and such failure continues for five (5) days after the due date.

(b) **Interest Reserve Deficiency.** Borrower fails to fund any deposit required by Section 4.5(e) within five (5) Business Days after written notice.

(c) **Representations.** Any representation or warranty made by Borrower or any Guarantor in any Loan Document or in any certificate delivered thereunder proves to have been false or misleading in any material respect when made or deemed made.

(d) **Covenants (Non-Monetary).** Borrower fails to observe or perform any covenant or agreement contained in any Loan Document (other than a covenant described in another clause of this Section) and such failure continues for thirty (30) days after the earlier of (i) written notice from Lender and (ii) the date Borrower knew or reasonably should have known of the failure; provided that if such failure is capable of cure but cannot reasonably be cured within thirty (30) days and Borrower is diligently pursuing cure, the cure period shall be extended by an additional thirty (30) days.

(e) **Specified Covenants Not Subject to Cure.** Borrower breaches any covenant in Section 4.5(f), Article IX, Article X, Section 6.11, Article VII or Article VIII, and, in the case of a breach of Article VIII, such breach continues for thirty (30) days after Lender's written notice.

(f) **Voluntary Bankruptcy.** Borrower, any Guarantor or any member of Borrower commences any case, proceeding or other action under any bankruptcy, insolvency, reorganization, receivership or similar law, consents to the appointment of a receiver or trustee, makes a general assignment for the benefit of

creditors, or admits in writing its inability to pay its debts generally as they become due.

(g) **Involuntary Bankruptcy.** Any case, proceeding or other action is commenced against Borrower, any Guarantor or any member of Borrower seeking to have an order for relief entered or seeking reorganization, liquidation or appointment of a receiver, trustee or custodian, and such case is not dismissed within sixty (60) days.

(h) **Material Adverse Change.** A Material Adverse Effect occurs, as determined by Lender in its reasonable discretion.

(i) **Construction Delay.** The Project is more than ninety (90) days behind the Construction Schedule at any time during the Construction Period (a **"Construction Delay Default"**), or Borrower fails to achieve Substantial Completion on or before the date required by Section 6.2(b).

(j) **Abandonment.** Borrower or the General Contractor abandons the Project or suspends construction for more than thirty (30) consecutive days (other than as a result of a force majeure event approved by Lender).

(k) **Insurance.** Borrower fails to maintain any insurance required by Article XI.

(l) **Liens.** Any Lien (other than a Permitted Exception) is filed, recorded or otherwise attaches to the Property or any other Collateral and is not released or bonded over within thirty (30) days.

(m) **Cross-Default; Mezzanine.** A default or event of default occurs under (i) the Mezzanine Documents or the Intercreditor Agreement, (ii) any other document evidencing Indebtedness of Borrower or any Guarantor, or (iii) the Construction Contract, the Architect Agreement or any other material agreement to which Borrower is a party, and in each case is not cured within any applicable cure period.

(n) **Environmental.** Borrower fails to comply with any condition of the NFA Letter, any Environmental Law or Article X, any release of a hazardous substance occurs at the Property, or NCDEQ or any other authority issues any order, directive, notice of violation or lien relating to the Property that is not stayed or discharged within thirty (30) days.

(o) **Judgments.** One or more money judgments are entered against Borrower or any Guarantor in an aggregate amount exceeding $500,000 (not covered by insurance as to which the insurer has acknowledged coverage in writing) and remains unsatisfied, unbonded or unstayed for thirty (30) days.

(p) **Guarantor.** Any Guarantor revokes, terminates, disaffirms, contests or disclaims any obligation under any Guaranty, any Guaranty becomes unenforceable in any material respect, any Guarantor fails to comply with Section 8.6 or 8.7, or any Guarantor commences any action seeking to limit its liability under any Guaranty.

(q) **Guarantor Financial Decline.** The combined net worth of the Guarantors decreases by more than [thirty-five percent (35%)] from the combined net worth reflected in the most recent personal financial statements delivered to Lender, or any Guarantor's net worth decreases below the threshold established under Section 8.7.

(r) **Failure to Deliver Reports.** Borrower fails to deliver any financial statement, compliance certificate, construction progress report, interest reserve reconciliation or other report required by Exhibit F, and such failure continues for ten (10) Business Days after written notice.

(s) **SPE.** Borrower breaches any covenant in Article IX, or any Related Entity takes any action inconsistent with Borrower's separate existence.

(t) **Change of Control.** Any change in the direct or indirect ownership or Control of Borrower or of any member of Borrower occurs without Lender's prior written consent, including any change resulting from the exercise of remedies by the Mezzanine Lender, other than as permitted by the Intercreditor Agreement.

(u) **Fraud.** Borrower, any Guarantor or any Related Entity engages in fraud, misappropriation of Loan proceeds or rents, or willful misconduct in connection with the Loan.

(v) **Other.** Borrower fails to perform any other obligation under any Loan Document, or any other event occurs that is expressly identified as an Event of Default in any Loan Document.

14.2 Notice and Cure

Each notice and cure period in this Article is the exclusive notice and cure period applicable to the corresponding Event of Default, and time is of the essence. Lender's acceptance of any late or partial payment, or its failure to object to any act or omission, shall not constitute a waiver of any Event of Default. Lender shall not be required to give notice of any Event of Default described in Sections 14.1(f), (g) or (u), or of any Event of Default arising from the failure to pay an amount after the expiration of the applicable grace period.

ARTICLE XV — REMEDIES

15.1 Remedies Upon Default

Upon the occurrence and during the continuance of any Event of Default, Lender may, in addition to all other rights and remedies available at law or in equity, exercise any one or more of the following remedies, concurrently or successively, without notice or demand except as required by applicable law:

(a) declare the entire unpaid principal balance of the Loan, together with all accrued and unpaid interest (including interest at the Default Rate), Fees (including the Exit Fee), costs and other amounts, immediately due and payable, whereupon the same shall be immediately due and payable without presentment,

demand, protest or notice of any kind, all of which Borrower and each Guarantor waive;

(b) cease making Advances and terminate the commitment;

(c) apply the Default Rate to all outstanding amounts;

(d) foreclose the Deed of Trust by exercise of the power of sale contained therein in accordance with Part 6 of Article 2A of Chapter 45 of the North Carolina General Statutes (N.C.G.S. § 45-21.1 et seq.), including the filing of a notice of hearing and the obtaining of an order authorizing the sale under N.C.G.S. § 45-21.16;

(e) institute an action for judicial foreclosure and for the appointment of a receiver under N.C.G.S. § 1-502, and Borrower consents to the appointment of a receiver without bond;

(f) exercise all rights and remedies of a secured party under Article 9 of the UCC, including with respect to the pledged membership interests, and, upon foreclosure of the Membership Interest Pledge, exercise all rights of the pledgors as members of Borrower, including the right to vote the pledged interests, to remove and replace the Managing Member, and, subject to Section 9.3, to control the management of Borrower;

(g) collect the rents and enforce the Assignment of Rents, and require Borrower to deposit all rents into an account controlled by Lender;

(h) exercise all rights under the Construction Contract Assignment and the Architect Assignment, and take possession of the Property, the Approved Plans and Specifications, the Construction Documents and all materials, and engage a replacement general contractor to complete the Project;

(i) exercise all rights and remedies under the Guaranties and the Environmental Indemnity;

(j) set off any amounts held by Lender (including the Interest Reserve Balance, any Equity Escrow Deposit and any deposit held under Section 4.10) against the Indebtedness, to the extent permitted by applicable law; and

(k) exercise all other rights and remedies available under the Loan Documents, at law or in equity.

15.2 Cumulative Remedies; No Waiver

All remedies are cumulative and not exclusive. No delay or failure by Lender in exercising any right or remedy shall operate as a waiver, and no single or partial exercise shall preclude any other or further exercise. Lender may exercise its remedies without regard to the value of any collateral and without any obligation to marshal assets.

15.3 Deficiency; Fair Market Value

Following a foreclosure sale conducted under the power of sale, Lender may seek a deficiency judgment in accordance with N.C.G.S. § 45-21.36. In any action for a deficiency, Borrower and each Guarantor shall be entitled to the benefit of the fair market value credit provided by that statute if the property is sold for less than its fair market value, and the amount of any deficiency shall be determined in accordance with that statute. Nothing in this Section limits the independent obligations of the Guarantors under the Completion Guaranty, the Carry Guaranty, the Partial Repayment Guaranty (as to the Guaranteed Amount) or the Environmental Indemnity, each of which is a separate obligation and not a deficiency obligation.

15.4 Right to Cure by Guarantors

Lender shall accept performance by any Guarantor of Borrower’s obligations under the Loan Documents to the extent such performance cures the applicable Event of Default, and such acceptance shall not release any other obligor. Lender shall provide each Guarantor with copies of each notice of default and each notice of acceleration delivered to Borrower.

15.5 Enforcement Costs

Borrower shall reimburse Lender for all costs and expenses (including reasonable attorneys’ fees, expert witness fees, appraisal costs, and the costs of any receiver) incurred in enforcing or attempting to enforce the Loan Documents or in protecting or realizing upon the Collateral, whether or not any action or proceeding is commenced, and such amounts shall bear interest at the Default Rate and shall be secured by the Loan Documents.

ARTICLE XVI — MEZZANINE LOAN; INTERCREDITOR MATTERS

16.1 Acknowledgment of Mezzanine Loan

Lender acknowledges that the Mezzanine Lender will make the Mezzanine Loan to Borrower in the original principal amount of $9,200,000, bearing interest at 12.50% per annum, maturing coterminously with the Loan (including any extension), and secured solely by a pledge of one hundred percent (100%) of the membership interests in Borrower, subordinated to the Membership Interest Pledge.

16.2 Intercreditor Agreement Controls

The relative rights and priorities of Lender and the Mezzanine Lender with respect to the Property, the membership interests in Borrower and the exercise of remedies shall be governed exclusively by the Intercreditor Agreement. In the event of a conflict between this Agreement and the Intercreditor Agreement with respect to such matters, the Intercreditor Agreement shall control as between Lender and the Mezzanine Lender, and this Agreement shall control as between Lender and Borrower.

16.3 Required Intercreditor Terms

The Intercreditor Agreement shall, at a minimum, provide that: (a) the Mezzanine Lender's pledge of membership interests is subordinate in all respects to the Membership Interest Pledge; (b) the Mezzanine Lender may not exercise any remedy, including any foreclosure of its pledge, until the earlier of (i) the expiration of a ninety (90) day standstill period following written notice to Lender and (ii) the date on which the Loan has been paid in full; (c) the Mezzanine Lender has no right to cure defaults under the Loan Documents except as expressly provided; (d) the Mezzanine Lender has a right, but not the obligation, to purchase the Loan at par plus accrued interest, Fees and costs; (e) the Mezzanine Lender may not amend the Mezzanine Documents, increase the Mezzanine Loan, or grant additional collateral without Lender's prior written consent; (f) the Mezzanine Lender shall not file or join in any involuntary petition against Borrower, and shall not object to or interfere with Lender's exercise of remedies; (g) the Mezzanine Lender acknowledges that Brightleaf Investors Group LLC, a 28% member of Borrower, and the Mezzanine Lender are under the common Control of Thomas R. Chen, and waives any conflict arising from that relationship; and (h) the Mezzanine Lender subordinates its claims to Lender's claims in any insolvency proceeding to the extent permitted by applicable law.

16.4 Mezzanine Debt Service

Borrower shall not pay any interest, principal, fee or other amount in respect of the Mezzanine Loan from Loan proceeds, and no such payment is included in the Approved Project Budget. If the Mezzanine Loan bears interest that is paid in kind or accrued during the Construction Period, the accreted amount shall be disclosed to Lender quarterly and shall be included in each refinancing and take-out analysis delivered to Lender. **Drafting Note:** The Credit Memorandum describes the Mezzanine Loan as accruing interest and being paid in kind during construction and cash-paid during the Mini-Perm Period. At 12.50% per annum, the Mezzanine Loan would accrete approximately $2,875,000 over a thirty-month construction period, and cash interest during the twelve-month Mini-Perm Period would be approximately $1,509,000 on an accreted balance of approximately $12,075,000. Neither amount is funded in the Approved Project Budget, and no covenant in the Term Sheet measures total debt service coverage on a combined basis. On the Appraiser's Stabilized Net Operating Income of $4,876,800, combined senior and mezzanine debt service would produce coverage of approximately 0.93x. See Cover Memorandum, Issue 6.

16.5 Affiliate Relationship

Borrower acknowledges that Thomas R. Chen Controls both Brightleaf Investors Group LLC (a 28% member of Borrower) and Brightleaf Mezzanine Capital LLC (the Mezzanine Lender), and that the Mezzanine Loan constitutes financing provided by an Affiliate of a member. Borrower shall not permit the Mezzanine Lender or any Related Entity to exercise any right or take any action that would circumvent the covenants in Articles VII and IX or the Intercreditor Agreement,

including by causing Borrower to make any Distribution, grant any additional Lien, incur any additional Indebtedness or defer any Project Cost.

ARTICLE XVII — NOTICES

17.1 Notices

All notices, requests, demands, consents and other communications under the Loan Documents shall be in writing and shall be deemed given (a) when delivered personally, (b) one (1) Business Day after deposit with a nationally recognized overnight courier, (c) three (3) Business Days after deposit in the United States mail, certified or registered mail, postage prepaid, return receipt requested, or (d) when sent by electronic mail, if sent during the recipient’s normal business hours and confirmed by a non-automated reply, and otherwise on the next Business Day. Notices shall be addressed as follows (or to such other address as a party designates by notice):

If to Lender:

Pinnacle Savings Bank, N.A.
Commercial Real Estate Lending Division
Attn: David Forsythe, Senior Vice President
215 South Tryon Street, 18th Floor
Charlotte, North Carolina 28202
Email: dforsythe@pinnaclesavings.example

with a copy to (which shall not constitute notice):

Ashford, Cromdale Consulting & Laine LLP
Attn: Katharine Drummond, Partner
411 South Tryon Street, Suite 2800
Charlotte, North Carolina 28202
Email: kdrummond@ashfordcromdale.example

If to Borrower:

Harborview Capital Partners LLC
Attn: Elena Vasquez-Torres, Managing Member
400 West Main Street, Suite 310
Durham, North Carolina 27701
Email: evasquez@harborviewcp.example

with a copy to (which shall not constitute notice):

Calloway & Strauss PLLC
Attn: Jonathan F. Ngo, Partner
324 Blackwell Street, Suite 200
Durham, North Carolina 27701
Email: jngo@callowaystrauss.com

If to any Guarantor:

At the address set forth beneath such Guarantor’s signature on its Guaranty, with a copy to Borrower’s counsel.

17.2 Electronic Delivery of Reports

Borrower may deliver reports and certificates required by Exhibit F by electronic mail or through Lender’s designated portal, provided that Lender may require an original executed compliance certificate upon request.

ARTICLE XVIII — MISCELLANEOUS

18.1 Governing Law

The Loan Documents shall be governed by and construed in accordance with the laws of the State of North Carolina, without regard to conflict of laws principles that would require the application of the law of another jurisdiction.

18.2 Venue; Consent to Jurisdiction

Each party irrevocably submits to the exclusive jurisdiction of the General Court of Justice of North Carolina, Durham County Superior Court, and the United States District Court for the Middle District of North Carolina, for any action or proceeding arising out of or relating to the Loan Documents, and irrevocably waives any objection to venue in those courts. Nothing in this Section limits Lender’s right to enforce the Deed of Trust through a power-of-sale foreclosure conducted pursuant to N.C.G.S. Chapter 45.

18.3 Waiver of Jury Trial

EACH PARTY KNOWINGLY, VOLUNTARILY AND IRREVOCABLY WAIVES ANY RIGHT TO A TRIAL BY JURY IN ANY ACTION OR PROCEEDING ARISING OUT OF OR RELATING TO THE LOAN DOCUMENTS OR THE TRANSACTIONS CONTEMPLATED THEREBY.

18.4 Waiver of Consequential Damages; Lender Not in Control

Neither party shall be liable to the other for consequential, incidental, indirect, special or punitive damages arising out of the Loan Documents. Lender’s exercise of any right of inspection, approval or monitoring shall not constitute an assumption of responsibility for the design, construction, completion, budgets, schedules or operational matters of the Project, and Lender shall have no liability in connection therewith.

18.5 Costs and Expenses; Indemnity

(a) Borrower shall pay all costs and expenses incurred by Lender in connection with the origination, documentation, closing and administration of the Loan, including the reasonable fees and disbursements of Ashford, Cromdale Consulting & Laine LLP, appraisal fees, environmental fees, title premiums and recording charges, survey costs, construction inspection fees, and all enforcement costs described in Section 15.5, in each case whether or not the Loan closes.

(b) Borrower shall indemnify, defend and hold harmless Lender and its officers, directors, employees, agents and counsel from and against all claims, losses,

liabilities, damages, costs and expenses (including reasonable attorneys' fees) arising out of or relating to (i) the Property, the Project or the Loan Documents, (ii) any breach of any representation, warranty or covenant, (iii) any actual or alleged presence or release of hazardous substances at the Property, and (iv) any claim by any contractor, subcontractor, tenant or third party relating to the Project, except to the extent arising from Lender's gross negligence or willful misconduct as determined by a final, non-appealable judgment.

(c) The indemnity in Section 18.5(b) shall survive the repayment of the Loan and the termination of the Loan Documents.

18.6 Assignment; Participation

Lender may, at any time and without Borrower's consent, sell participations in, assign or transfer all or any portion of the Loan and the Loan Documents, and may disclose to each actual or prospective participant or assignee all information relating to Borrower, the Guarantors, the Property and the Project. Borrower may not assign or delegate any of its rights or obligations under the Loan Documents without Lender's prior written consent, and any purported assignment without such consent shall be void.

18.7 Entire Agreement; Amendments

This Agreement, together with the other Loan Documents, constitutes the entire agreement of the parties with respect to the Loan and supersedes all prior and contemporaneous agreements, term sheets, commitments and understandings, whether written or oral, including the Term Sheet and the Credit Memorandum, except that the Term Sheet's confidentiality, exclusivity and expense deposit provisions shall survive to the extent not superseded by the Loan Documents. No amendment, modification or waiver shall be effective unless in writing and signed by Lender and Borrower, and, with respect to any provision affecting a Guarantor's obligations, by such Guarantor.

18.8 Severability; Counterparts; Headings

If any provision of any Loan Document is held invalid or unenforceable, the remaining provisions shall continue in full force and effect. The Loan Documents may be executed in counterparts, each of which shall be an original and all of which together shall constitute one instrument, and may be executed and delivered electronically in accordance with the North Carolina Uniform Electronic Transactions Act (N.C.G.S. Chapter 66, Article 11). Headings are for convenience only.

18.9 Time of the Essence; No Third-Party Beneficiaries

Time is of the essence with respect to each obligation of Borrower and each Guarantor. Except for the Guarantors (as obligors) and Lender's permitted successors and assigns, no Person is an intended third-party beneficiary of the Loan Documents.

18.10 Waiver of Right to Contest Taxes

Borrower may contest in good faith, by appropriate proceedings, any tax, assessment or charge, provided that (a) no Event of Default exists, (b) Borrower has deposited with Lender such security as Lender may require, and (c) such contest does not subject the Property to any risk of sale, forfeiture or loss.

18.11 Relationship of the Parties

The relationship of Lender and Borrower is that of creditor and debtor only. Nothing in the Loan Documents creates a partnership, joint venture, agency or fiduciary relationship, or constitutes Lender as a partner, joint venturer, agent, trustee or advisor of Borrower.

18.12 Set-Off

Upon the occurrence and during the continuance of an Event of Default, Lender may set off against the Indebtedness any amount then held by Lender for the account of Borrower, including the Interest Reserve Balance, any Equity Escrow Deposit, any deposit made under Section 4.10, and any other deposit or credit balance, to the extent permitted by applicable law.

18.13 Survival

The obligations of Borrower and each Guarantor under Sections 4.5, 4.8, 15.5, 18.5, and under the Environmental Indemnity, together with each representation, warranty and indemnity that by its terms survives, shall survive the repayment of the Loan, the release of the Deed of Trust and the termination of the Loan Documents.

18.14 Drafting Notes and Open Items

Borrower acknowledges that this draft contains bracketed placeholders and drafting notes identifying terms that remain subject to agreement, open diligence and Lender’s internal approval. Execution of this Agreement shall constitute acceptance of the terms as finally set forth in the executed version, without regard to the drafting notes, which shall be removed prior to execution.

SIGNATURE PAGES

IN WITNESS WHEREOF, the parties have executed this Loan Agreement as of the Effective Date.

LENDER:

PINNACLE SAVINGS BANK, N.A., a national banking association

By: _____
Name: David Forsythe
Title: Senior Vice President, Commercial Real Estate Lending
Date: _____

BORROWER:

HARBORVIEW CAPITAL PARTNERS LLC, a North Carolina limited liability company

By: _____
Name: Elena Vasquez-Torres
Title: Managing Member
Date: _____

GUARANTORS (solely for purposes of Sections 13.6, 14.1, 15.4 and 18.13, and the representations in Section 5.5 and Section 5.18 as they apply to the Guarantors):

By: _____
ELENA VASQUEZ-TORRES, individually
Date: _____

By: _____
REGINALD K. OSEI, individually
Date: _____

ACKNOWLEDGED AND CONSENTED TO BY THE MEMBERS OF BORROWER (solely for purposes of the Membership Interest Pledge and Article IX):

BRIGHTLEAF INVESTORS GROUP LLC, a North Carolina limited liability company

By: _____
Name: Thomas R. Chen
Title: Managing Member
Date: _____

EXHIBIT A — LEGAL DESCRIPTION OF THE PROPERTY

Parcel 1 (Durham County PIN 0821-04-72-3341 — 601 Foster Street):

Being all of that certain lot, tract, or parcel of land situated in the City of Durham, Durham County, North Carolina, and being more particularly described as follows:

BEGINNING at an existing iron pipe located in the eastern right-of-way margin of Foster Street (60-foot public right-of-way), said iron pipe being located South 02°14’33” West, 312.47 feet from the intersection of the eastern right-of-way margin of Foster Street with the southern right-of-way margin of West Corporation Street; running thence from said Beginning point along the eastern right-of-way margin of Foster Street, South 02°14’33” West, 298.62 feet to an existing iron pipe; thence departing said right-of-way margin, South 87°45’27” East, 305.41 feet to an existing iron pipe; thence North 02°14’33” East, 298.62 feet to an existing iron pipe; thence North 87°45’27” West, 305.41 feet to the point and place of BEGINNING; containing approximately 2.09 acres as shown on that survey plat recorded in Plat Book 218, Page 47, Durham County Registry.

Being the same property conveyed to Harborview Capital Partners LLC by Special Warranty Deed recorded in Book 7598, Page 443, Durham County Registry, dated June 12, 2023, from Foster Street Properties LLC.

Parcel 2 (Durham County PIN 0821-04-72-4102 — 615 Foster Street):

Being all of that certain lot, tract, or parcel of land situated in the City of Durham, Durham County, North Carolina, and being more particularly described as follows:

BEGINNING at an existing iron pipe located in the eastern right-of-way margin of Foster Street (60-foot public right-of-way), said iron pipe being the southwestern corner of Parcel 1 described above; running thence from said Beginning point along the eastern right-of-way margin of Foster Street, South 02°14’33” West, 201.88 feet to a new iron pipe; thence departing said right-of-way margin, South 87°45’27” East, 297.63 feet to a new iron pipe; thence North 02°14’33” East, 201.88 feet to an existing iron pipe; thence along the southern boundary of Parcel 1, North 87°45’27” West, 297.63 feet to the point and place of BEGINNING; containing approximately 1.38 acres as shown on that survey plat recorded in Plat Book 218, Page 48, Durham County Registry.

Being the same property conveyed to Harborview Capital Partners LLC by Special Warranty Deed recorded in Book 7598, Page 445, Durham County Registry.

Total combined land area: approximately 3.47 acres (approximately 151,153 square feet).

Drafting Note: The descriptions above are reproduced from Schedule A of the Title Commitment (Commitment No. NC-2024-88712). Parcel 2’s second call (South 87°45’27” East, 297.63 feet) is described as terminating at the southeastern corner of Parcel 1, but the southeastern corner of Parcel 1 lies 305.41 feet east of the common southwestern corner, a discrepancy of 7.78 feet.

The descriptions must be conformed to the ALTA/NSPS Survey and re-certified by the surveyor before this Exhibit is attached to an executed Agreement. See Cover Memorandum, Issue 17.

EXHIBIT B — PROJECT BUDGET

Approved Project Budget — Total Project Costs of $56,700,000

Line	Cost Category	Amount	Loan	Mezz. Loan	Equity
1.01	Land Acquisition (previously closed)	$8,200,000	$0	$8,200,000	$0
I	**Subtotal — Land Acquisition**	**$8,200,000**	**$0**	**$8,200,000**	**$0**
2.01–2.09	Hard Construction Costs (GMP — Graystone Construction Group Inc.)	$34,750,000	$34,750,000	$0	$0
II	**Subtotal — Hard Construction Costs**	**$34,750,000**	**$34,750,000**	**$0**	**$0**
3.01–3.10	Soft Costs (A&E; permits; legal; environmental; appraisal; title; inspection; builder's risk; marketing)	$4,150,000	$4,150,000	$0	$0
III	**Subtotal — Soft Costs**	**$4,150,000**	**$4,150,000**	**$0**	**$0**
4.01	Interest Reserve	$4,850,000	$4,850,000	$0	$0
4.02	Loan Origination Fee (1.00% × $47,500,000)	$475,000	$475,000	$0	$0
IV	**Subtotal — Financing Costs**	**$5,325,000**	**$5,325,000**	**$0**	**$0**
5.01	Developer Fee (5.00% of Total Project Costs)	$2,835,000	$1,835,000	$1,000,000	$0
V	**Subtotal — Developer Fee**	**$2,835,000**	**$1,835,000**	**$1,000,000**	**$0**
6.01	Hard Cost Contingency (approximately 3.3% of Hard Costs)	$1,140,000	$1,140,000	$0	$0
6.02	Soft Cost Contingency (approximately 7.2% of Soft Costs)	$300,000	$300,000	$0	$0
VI	**Subtotal — Contingency**	**$1,440,000**	**$1,440,000**	**$0**	**$0**
	GRAND TOTAL PROJECT COSTS	**$56,700,000**	**$47,500,000**	**$9,200,000**	**$0**

Notes to Exhibit B.

1. The budget is reproduced from the Borrower-prepared construction and draw schedule dated January 8, 2025. The sources foot to $56,700,000 and the uses foot to $56,700,000. Borrower equity is $0.

2. The budget does not include: (a) the payoff of the Prior Deed of Trust in favor of Triangle Commercial Bank (original principal $3,400,000; current balance to be confirmed by payoff letter); (b) any interest on the Mezzanine Loan; (c) the unused line fee (Section 2.9(b)); (d) the Exit Fee (Section 2.9(c)); (e) the Extension Fee (Section 2.9(d)); (f) the cost of any Interest Rate Cap Agreement; or (g) any increase in the annual assessment payable to the Brightleaf Historic District Association. Each of these is a cost of the Project or of the Loan that must be funded from a source other than the Loan.

3. The "Net Disbursable (excl. Retainage)" total in the source schedule is stated as $45,750,000 but its line items foot to $45,025,000, a $725,000

discrepancy. The schedule must be corrected before this Exhibit is attached to an executed Agreement. See Cover Memorandum, Issue 11.

4. If the Loan Amount is reduced to $45,360,000 to comply with Section 8.1, the “Funded by Loan” and “Funded by Borrower Equity” columns must be conformed and the sources and uses restated. See Cover Memorandum, Issues 1 through 4.

EXHIBIT C — DRAW SCHEDULE

Advances shall be made against the following milestones, subject to Article IV. Cumulative percentages refer to cumulative Hard Costs incurred as a percentage of the $34,750,000 GMP.

Draw	Milestone	Cum. %	Hard Cost	Retainage	Net	Other	Total
1	Closing — soft costs, interest reserve, origination fee	0%	$0	$0	$0	$9,475,000	$9,475,000
2	Foundation complete	15%	$5,212,500	($521,250)	$4,691,250	$521,250	$5,212,500
3	Structural frame — Level 3	35%	$6,950,000	($695,000)	$6,255,000	$695,000	$6,950,000
4	Structural frame — topped out	55%	$6,950,000	($695,000)	$6,255,000	$695,000	$6,950,000
5	Building envelope complete	70%	$5,212,500	($521,250)	$4,691,250	$521,250	$5,212,500
6	MEP rough-in complete	80%	$3,475,000	($347,500)	$3,127,500	$347,500	$3,475,000
7	Interior finish — 50% of units	90%	$3,475,000	($347,500)	$3,127,500	$347,500	$3,475,000
8	Substantial completion / TCO	100%	$3,475,000	($347,500)	$3,127,500	$347,500	$3,475,000
9	Retainage release (post-CO)	Post-CO	$3,475,000	($3,475,000)	$3,475,000	$0	$3,475,000
	TOTAL		**$38,225,000**	**$0**	**$34,750,000**	**$13,750,000**	**$47,500,000**

Notes to Exhibit C.

1. Draw 1 includes $4,150,000 of Soft Costs, the $4,850,000 Interest Reserve and the $475,000 Origination Fee.

2. Retainage is 10% of Hard Costs, or $3,475,000 in the aggregate, and is released as Draw 9 upon satisfaction of Section 4.3. This Exhibit corrects the retainage release from $3,275,000 (as stated in the Term Sheet, the Credit Memorandum and the Borrower’s draw schedule) to $3,475,000, which is the correct 10% amount.

3. The “Other Amounts” column aggregates the Soft Costs, Interest Reserve and Origination Fee in Draw 1, and the contingency and Developer Fee allocations in Draws 2 through 8. Contingency and Developer Fee amounts are reserves and are disbursed only in accordance with Section 4.1, Section 4.10 and Section 6.11; accordingly, the amounts shown in this column are

not scheduled disbursements and the actual timing of Advances will depend on Lender’s approvals.

4. The Borrower’s draw schedule dated January 8, 2025 does not foot: Draw 9 shows $4,275,000 of components against a stated draw of $3,275,000, and the component columns aggregate to $48,500,000 against a $47,500,000 facility. This Exhibit replaces that schedule. See Cover Memorandum, Issue 12.

5. Borrowing Note: Draw 8 is scheduled for August 2027, in the thirtieth month of a thirty-month Construction Period, and Draw 9 is scheduled for October 2027, after the Construction Maturity Date. There is no float in the Construction Schedule. See Cover Memorandum, Issue 28.

EXHIBIT D — CONSTRUCTION MILESTONES AND CONSTRUCTION SCHEDULE

Milestone	Scheduled Date	Cumulative Hard Costs	Required by (days after scheduled date)
Notice to Proceed / mobilization	March 2025	$0	15
Foundation complete	June 2025	$5,212,500	30
Structural frame — Level 3	November 2025	$12,162,500	30
Structural frame — topped out	April 2026	$19,112,500	30
Building envelope complete	August 2026	$24,325,000	30
MEP rough-in complete	November 2026	$27,800,000	30
Interior finish — 50% of units	March 2027	$31,275,000	30
Substantial Completion / TCO	August 2027	$34,750,000	30
Final certificate of occupancy; retainage release	October 2027	$34,750,000	45

Borrower shall deliver an updated critical-path Construction Schedule with each monthly construction progress report. No milestone may slip by more than the number of days stated above without Lender’s prior written consent. A slip of more than ninety (90) days in the aggregate constitutes a Construction Delay Default under Section 14.1(i).

Drafting Note: Projected Substantial Completion is August 31, 2027 and the Construction Maturity Date is August 28, 2027. The milestone table above is reproduced from the projected schedule and will require the final GMP contract schedule. See Cover Memorandum, Issue 28.

EXHIBIT E — ENVIRONMENTAL RESTRICTED AREA; NFA COMPLIANCE PLAN

Part 1 — Environmental Restricted Area.

The Environmental Restricted Area consists of the approximately 0.38-acre area in the northeast corner of Parcel 0821-04-72-4102 as delineated in the Phase II Environmental Site Assessment (Sentinel Project No. SEC-2024-1089) and as it will be described by metes and bounds in the Deed Notice recorded in the Durham County Registry. The Environmental Restricted Area shall be depicted on the Survey, and the surveyor shall certify that depiction to Lender. Pending recordation of the Deed Notice and delivery of the Survey, this Exhibit describes the Environmental Restricted Area by reference to the Phase II ESA delineation only; no metes and bounds legal description of the area is available in the record.

Attribute	Source of Information	Value
Site identification	NFA Letter (9/30/2024); Phase I ESA § 3.1	NCDEQ Site ID IHSB-24-1203; Incident No. NONUST-24-0847
Affected area	Phase I ESA § 1, § 7; Phase II ESA	Approximately 0.38 acres (approximately 16,500 sf)
Location	Phase I ESA § 1; Figure 3	Northeast corner of Parcel 0821-04-72-4102
Former UST	Phase I ESA § 2.2 / Appraisal § 8	2,000-gallon diesel; installed c. 1972 (ESA) / c. 1950s heating oil (Appraisal); removed c. 1998
Maximum soil concentrations	Phase II ESA § 5.2	TPH-DRO 847 mg/kg (residential PSRG 100); benzene 0.42 mg/kg (residential PSRG 0.065)
Maximum soil gas	Phase II ESA § 5.4	Benzene 185 µg/m3 (residential screening level 31 µg/m3)
Groundwater	Phase II ESA § 5.3	Dissolved benzene 0.8 µg/L (2L standard 1.0 µg/L)
Volume of impacted soil removed	Appraisal § 8 / Credit Memorandum § 8.2 / Phase I ESA § 6.1	320 cy / 340 cy / 1,200 cy (inconsistent — see Cover Memorandum, Issue 26)
Remediation cost	Phase I ESA § 6.3	Approximately $485,000

Part 2 — NFA Compliance Plan. Borrower shall implement each of the following, and shall certify compliance in each quarterly compliance certificate:

1. **Vapor Mitigation System** — design by a North Carolina licensed professional engineer; installation beneath each enclosed structure within or over the Environmental Restricted Area; commissioning with a performance verification report; as-built drawings and performance report submitted to NCDEQ within 90 days after completion of the foundation in the affected area; operation and maintenance program with annual certification.

2. **Land Use Restriction** — no residential use, and no other sensitive use, within the Environmental Restricted Area, and no residential unit or occupied residential space within or above the area, unless and until the NFA Letter is modified in accordance with Section 10.4.

3. **Soil Management Plan** — submitted to and approved by NCDEQ before commencement of subsurface disturbance in the area; incorporated into the Construction Documents; implemented by the General Contractor and all subcontractors.

4. **Deed Notice** — recorded in the Durham County Registry as required by condition 4 of the NFA Letter (due November 29, 2024), and maintained of record; recorded copy delivered to Lender.

5. **Reporting** — copies of all NCDEQ correspondence within ten (10) Business Days; annual certification of continued compliance.

EXHIBIT F — REPORTING REQUIREMENTS

Report	Frequency	Deadline	Section
Construction progress report (with schedule update and budget reconciliation)	Monthly	15th day of each month, during Construction Period	6.10
Construction Inspector’s certification	With each Requisition	Prior to each Advance	4.2(e)
AIA G702 / G703	With each Requisition	Prior to each Advance	4.2(d)
Requisition and advance certificate	With each Requisition	15 days prior to requested Advance	4.2(c)
Lien waivers (conditional, statutory form)	With each Requisition	Prior to each Advance	4.2(f)
Title date-down endorsement	With each Requisition	Prior to each Advance	4.2(g)
Interest Reserve reconciliation and adequacy test	Monthly / quarterly	With each monthly statement; at each Requisition	4.5(c), (d)
Borrower quarterly financial statements (unaudited)	Quarterly	45 days after quarter end	6.10
Borrower annual financial statements (audited)	Annual	120 days after fiscal year end	6.10
Borrower net worth certificate	Annual	120 days after fiscal year end	8.5
Guarantor personal financial statements and liquidity certification	Quarterly	45 days after quarter end	8.6
Guarantor tax returns	Annual	120 days after fiscal year end	3.1(p)
Compliance certificate (Exhibit I)	Quarterly; and with each annual statement	45 days after quarter end	8.8
Mezzanine Loan statement (including accreted interest)	Quarterly	45 days after quarter end	16.4
NFA compliance certification and NCDEQ correspondence	Quarterly / as received	10 Business Days	10.2(e)
Operating statements and rent roll (after CO)	Monthly	30 days after month end	6.12
Notice of material adverse development, litigation, casualty, environmental claim	Promptly	Within 5 Business Days	5.5, 10.7
Copies of all material governmental notices and permits	Promptly	Within 5 Business Days of receipt	6.10
Copy of each notice under the Mezzanine Documents or Intercreditor Agreement	Promptly	Concurrently with delivery	6.13
Updated Phase I ESA (if closing after April 26, 2025)	Once	Prior to closing	6.16

EXHIBIT G — CONDITIONS TO THE EXTENSION OPTION

Borrower may exercise the Extension Option only if each of the following conditions is satisfied on or before the date that is sixty (60) days prior to the Mini-Perm Maturity Date:

(a) **No Default.** No Event of Default, and no condition that with notice or lapse of time, or both, would constitute an Event of Default, exists under any Loan Document, the Mezzanine Documents or the Intercreditor Agreement.

(b) **Completion.** Substantial Completion has occurred and a final certificate of occupancy has been issued by the City of Durham for all residential units and retail space.

(c) **Minimum Occupancy.** Not less than seventy-five percent (75%) of the residential units are leased under executed leases with terms of at least twelve (12) months and are physically occupied.

(d) **Minimum DSCR.** The DSCR, calculated on the basis of [actual trailing three-month annualized in-place Net Operating Income] divided by annual Debt Service on the outstanding principal balance at the rate then in effect, is not less than [1.15x]. **Drafting Note:** Section 8.3 imposes a 1.25x continuing covenant. Permitting an extension at 1.15x would allow Borrower to exercise the Extension Option while in breach of the covenant, or would require the covenant to be suspended during the extension period. Lender must elect between (i) conforming this condition to 1.25x; (ii) permitting 1.15x but requiring a principal curtailment or cash collateral under Section 8.3(b); and (iii) suspending the Section 8.3 covenant during the Extension Period. See Cover Memorandum, Issue 36.

(e) **Extension Fee.** Payment of the Extension Fee equal to 0.25% of the then-outstanding principal balance of the Loan.

(f) **Interest Rate Cap.** Delivery of an Interest Rate Cap Agreement for the Extension Period, with a strike rate and counterparty (minimum long-term rating of A- from S&P or A3 from Moody’s) approved by Lender, collaterally assigned to Lender.

(g) **Intercreditor.** The Intercreditor Agreement remains in full force and effect, and no default exists thereunder.

(h) **Updated Appraisal.** Delivery of an updated MAI appraisal confirming that the Loan-to-Value Ratio based on the outstanding principal balance and the as-stabilized appraised value does not exceed [65%].

(i) **Environmental.** The Vapor Mitigation System is installed, commissioned and operating; the Deed Notice remains of record; and no NFA condition has been breached.

(j) **Representations.** All representations and warranties in the Loan Documents remain true and correct in all material respects.

(k) **Pollution Legal Liability Insurance.** If required by Lender under Section 10.5, delivery of evidence of a pollution legal liability policy in the required amount.

EXHIBIT H — PERMITTED EXCEPTIONS

The Title Policy may contain only the following exceptions:

1. Standard printed exceptions 1 through 6 of Schedule B-II of the Title Commitment insofar as they are not deleted by the Survey, the affidavit of possession, the owner's affidavit and gap indemnity, and the endorsements required by Lender.

2. Ad valorem taxes for the fiscal year 2025 and subsequent years, not yet due and payable.

3. **Duke Energy Carolinas, LLC easement** — twenty (20) feet in width along the western boundary of Parcel 0821-04-72-3341, recorded in Book 4387, Page 621, Durham County Registry.

4. **City of Durham stormwater management easement** — affecting approximately 0.22 acres in the southern portion of Parcel 0821-04-72-3341, recorded in Book 7421, Page 212, Durham County Registry, as depicted on the plat recorded in Plat Book 232, Page 91.

5. **Declaration of Covenants, Conditions and Restrictions** — recorded by the Brightleaf Historic District Association, Inc. in Book 6984, Page 1155, as amended in Book 7102, Page 388, Durham County Registry.

6. **Declaration of Land Use Restrictions / Deed Notice** recorded in favor of NCDEQ with respect to the Environmental Restricted Area, in the form required by condition 4 of the NFA Letter, to be recorded prior to or concurrently with the Deed of Trust (recording information to be inserted upon recordation). **Drafting Note:** This exception does not appear in the Term Sheet's list of Permitted Exceptions and does not appear in the Title Commitment. It must be added because the restriction is (or must be) of record. See Cover Memorandum, Issue 21.

7. Terms, conditions, easements and restrictions imposed by the City of Durham Unified Development Ordinance and the MU-D zoning classification, provided that no such matter prohibits the Project as designed.

The Prior Deed of Trust in favor of Triangle Commercial Bank (Book 6215, Page 892) shall be satisfied and released at or before closing and shall NOT appear as an exception to the Title Policy.

EXHIBIT I — FORM OF COMPLIANCE CERTIFICATE

The undersigned, the Managing Member of Harborview Capital Partners LLC ("Borrower"), certifies to Pinnacle Savings Bank, N.A. ("Lender") pursuant to the Loan Agreement dated as of February [●], 2025 (the "Loan Agreement"), that, as of the date hereof:

1. No Event of Default, and no condition that with notice or lapse of time, or both, would constitute an Event of Default, exists.

2. Each representation and warranty in the Loan Agreement is true and correct in all material respects.

3. The financial covenants in Article VIII are satisfied as follows, with computations in reasonable detail attached:

Covenant	Requirement	Actual	Compliance
Loan-to-Cost Ratio (Section 8.1)	Not more than 80.00%	%	Yes / No
Loan-to-Value Ratio, as-completed (Section 8.2)	Not more than 65.00%	%	Yes / No
Loan-to-Value Ratio, as-stabilized (Section 8.2)	Not more than 65.00%	%	Yes / No
DSCR (Section 8.3)	Not less than 1.25x	x	Yes / No
Debt Yield (Section 8.4)	Not less than 8.50%	%	Yes / No
Borrower Net Worth (Section 8.5)	Not less than $12,000,000	$	Yes / No
Guarantor Liquidity (Section 8.6)	Not less than $5,000,000	$	Yes / No
Guarantor Net Worth (Section 8.7)	Not less than $[●]	$	Yes / No

4. The Interest Reserve Balance is $[●]; interest accrued during the period is $[●]; projected interest through the Construction Maturity Date is $[●]; and the Interest Reserve Adequacy Test [is / is not] satisfied.

5. Each condition of the NFA Letter is being complied with, and the Vapor Mitigation System [has / has not] been installed and commissioned.

6. Attached are the computations required by Section 8.9 and the reports required by Exhibit F.

HARBORVIEW CAPITAL PARTNERS LLC

By: _____
Name: Elena Vasquez-Torres
Title: Managing Member
Date: _____

EXHIBIT J — FORM OF DRAW REQUEST AND ADVANCE CERTIFICATE

Draw Request No. _____ | Requested Advance Date: _____ | Requested Amount: $_____

Item	Requirement	Delivered (Y/N)
1	Completed AIA G702 Application and Certificate for Payment and G703 Continuation Sheet, certified by the Project Architect and the General Contractor	
2	Construction Inspector’s report confirming milestone achievement, percentage of completion, compliance with the Approved Plans and Specifications, and sufficiency of funds to complete	
3	Conditional partial lien waivers in statutory form (N.C.G.S. § 44A-23 and § 44A-24) from the General Contractor, all subcontractors and all materialmen	
4	Title date-down endorsement from the Title Company, effective within 10 days, confirming first-priority status and no intervening liens	
5	Evidence of continued insurance compliance under Article XI	
6	Interest Reserve reconciliation and satisfaction of the Interest Reserve Adequacy Test, or deposit of the required amount	
7	Evidence that the Equity Escrow Deposit has been fully applied (Advances after the Initial Advance)	
8	Updated sources-and-uses and budget reconciliation, with no unremedied Cost Overrun	
9	Compliance certificate (Exhibit I)	
10	Evidence of compliance with the NFA Letter, if work is within or above the Environmental Restricted Area	
11	Schedule update and milestone status against Exhibit D	
12	Certification that no Event of Default exists and that all representations are true	

The undersigned certifies that the work for which this Advance is requested has been completed in accordance with the Approved Plans and Specifications, that the amounts requested have been paid or are due and payable to the Persons identified in the AIA G702, that no lien has been filed, that no Event of Default exists, and that the representations and warranties in the Loan Agreement are true and correct in all material respects.

HARBORVIEW CAPITAL PARTNERS LLC

By: _____
Name: Elena Vasquez-Torres
Title: Managing Member
Date: _____

END OF LOAN AGREEMENT